



Procurement Made Easy: A Guide To Balochistan Public Procurement Rules -2014



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Disclaimer

The contents of this guide are meant to produce a simplified version of BPP Rules for the ease of understanding of Procuring Agencies, Contractors, Consultants, Suppliers, Vendors and Public in general.

The guide in no way overrides, surpasses, nullifies the original/exact BPP Rules. For any Procurement proceeding, the exact provisions / wordings and meanings of BPP Rules 2014 (as amended from time to time) shall be applicable.

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PART 1

PRELIMINARY

A - TITLE, DEFINITIONS, SCOPE AND APPLICABILITY

Rule 1: Short Title and Commencement.

The Name and Start Date

This is the simplest rule. It has just two pieces of essential information:

1. **The Official Name:** These rules are officially called the "**Balochistan Public Procurement Rules, 2014**".
 - This is the name you must use when referring to them in official documents.
2. **The Start Date:** The rules "**shall come into force at once**."
 - This means they became effective and legally binding immediately on the day they were officially published in 2014.
 - There was no waiting period. From that day forward, all government procurements in Balochistan had to follow these new rules.

In a Nutshell: This rule is like the cover page of the document. It doesn't contain any procedures, but it gives the rulebook its official name and tells us the exact moment it became the law of the land for procurement in Balochistan

Rule 2: Definitions.

Official Term	Simple Meaning	Practical Example
Act	The main law passed by the Balochistan Assembly that created the entire procurement system. It's the "constitution" for all government buying.	The Balochistan Public Procurement Regulatory Authority Act, 2009 is the foundation. Everything BPPRA and all government departments do when buying something must be allowed under this law. It's like the rulebook for the entire game of procurement.
Authority (BPPRA)	The BPPRA itself. It's the independent government body that sets the rules, monitors departments, and trains staff. It's the "referee" for procurement.	If the Health Department is buying ambulances and a company complains the process was unfair, they can appeal to BPPRA . BPPRA will check if the department followed all the rules correctly.

Official Term	Simple Meaning	Practical Example
Bid	A company's official offer or price quote to do a job or supply goods.	A Procuring Agency needs to build a road. XYZ Construction Company submits a document saying, "We will build this 10km road for Rs. 50 million." That document is their bid .
Bidding Documents	The packet of papers that contains all the rules, forms, and instructions for companies that want to bid.	When the Education Department wants to buy 1000 desks, they create a package that includes: the design of the desk, the quality of wood required, the deadline for submission, and the contract terms. This package is the bidding document .
Bidding Process	The entire journey of a procurement from start to finish.	1. Advertise the need for a new school building. 2. Receive bids from contractors. 3. Open the bids publicly. 4. Evaluate which bid is best. 5. Award the contract to the winner. This whole sequence is the bidding process .
Blacklisting	Banning a company from future government work due to serious misconduct.	ABC Supplies wins a contract to provide textbooks but delivers photocopied pirated books. After an investigation, the department blacklists them, meaning ABC Supplies cannot bid on any government contracts for a certain period.
Calendar Days	This means every single day counts, including weekends and public holidays.	If the rule says "submit within 15 calendar days " from June 1st, the deadline is June 16th, even if there are holidays in between.
Competent Authority	The senior officer with the legal power to sign contracts and approve payments.	The Secretary of the Communications Department is the Competent Authority for a bridge construction project. The procurement committee can recommend a winner, but only the Secretary can officially sign the contract.
Conflict of Interest	A situation where a person's personal interests could improperly influence their professional decisions.	Mr. Ali, the engineer evaluating bids for a computer lab, owns a computer shop that has also submitted a bid. This is a clear conflict of interest . Mr. Ali must

Official Term	Simple Meaning	Practical Example
		declare this and be removed from the evaluation process.
Consultant	An expert hired for their knowledge and advice, not to supply goods or build things.	The department wants to build a dam. They first hire a firm of expert engineers (consultants) to study the site, design the dam, and prepare the bidding documents for the construction company.
Consulting Services	Work that requires specialized skills or knowledge that the Department/Procuring Agency doesn't have in-house.	The Finance Department needs advice on a new tax collection software system. They hire an IT firm for consulting services to study their needs and recommend the best solution.
Contract	A legally binding agreement between the Procuring Agency and the winning bidder.	After XYZ Construction wins the road contract, they sign a contract with the Procuring Agency. This 100-page document details the project timeline, payment schedule, quality standards, and penalties for delays.
Contractor	A company hired to perform construction, goods, services and work.	XYZ Construction, the company that will physically build the road, is the contractor .
Corrupt & Fraudulent Practices	Dishonest actions to win a contract or during its execution.	1. Coercive Practice: Threatening a rival bidder to withdraw their offer. 2. Collusive Practice: Two companies secretly agreeing to take turns winning contracts with high prices. 3. Corrupt Practice: A company official bribing a government officer. 4. Fraudulent Practice: Submitting fake experience certificates. 5. Obstructive Practice: Destroying evidence or threatening investigators looking into a corrupt bid.
Emergency	A sudden crisis (disaster, war, accident) that requires immediate action to protect people/property.	After a devastating flood, a district needs tents, medicine, and food immediately. Normal bidding (which takes months) is waived under the emergency rules to buy supplies quickly and save lives.

Official Term	Simple Meaning	Practical Example
Framework Agreement	An agreement with a supplier to provide goods/services repeatedly over a set period, often at pre-agreed terms.	A hospital signs a framework agreement with MedSupply Co. to provide bandages, gloves, and syringes for one year. Whenever they need these items, they place an order directly with MedSupply at the prices fixed in the agreement, without a new tender each time.
Goods	Physical items that are purchased.	This includes everything from stationery, furniture, and medicines to vehicles, computers, and machinery.
Government	The Government of Balochistan.	This term is used to specify which government's rules and policies are being followed.
Head of the Department	The top-most official in a government department (e.g., a Secretary or Director General).	The Head of the Department for the Health Department is the Secretary of Health, who has overall responsibility for all its activities, including procurement.
Lowest Evaluated Bid	The best overall offer that meets all requirements and has the lowest price.	For a school building, Bid A is Rs. 10 million but uses poor-quality materials. Bid B is Rs. 11 million and meets all quality standards. Bid B is the Lowest Evaluated Bid because it offers better value, even though it's not the cheapest.
Lowest Submitted Price	The cheapest offer that fails to meet important requirements.	A bid to supply hospital-grade disinfectant is 50% cheaper than all others. However, the product offered is for household use and not strong enough. This is the lowest submitted price, but it will be rejected for being non-responsive.
Mis-procurement	A purchase that breaks the procurement rules. It is illegal.	The Water Supply department needs to buy a large pump worth Rs. 5 million. To avoid a public tender, the manager splits the order into five purchases of Rs. 1 million each from the same supplier. This "splitting" is mis-procurement.

Official Term	Simple Meaning	Practical Example
National Company or Firm	A business that is legally registered and operates within Pakistan.	A construction company registered with the Securities and Exchange Commission of Pakistan (SECP) in Karachi is a National Company.
Notice Inviting Tender (NIT)	The official public advertisement that announces a procurement opportunity.	The Procuring Agency publishes a Notice Inviting Tender (NIT) in daily newspapers stating: "Bids are invited for the construction of a new library building. Documents are available from our office."
Open Competitive Bidding	The standard method where a job is advertised publicly for any qualified company to bid.	The Procuring Agency publishes a notice in newspapers and on its website inviting all interested construction firms to bid for a new hospital building. This is open competitive bidding.
Party or Parties	Any person or organization that can influence or be involved in the procurement process.	This includes the government department, all the bidders, consultants, and even subcontractors.
Procurement Proceedings	All the steps and actions for a single purchase.	For the new hospital, the proceedings include: the meeting where the need was approved, the advertisement, all bids received, the evaluation report, and the signed contract. All these documents must be kept on file.
Response Time	The period during which companies can obtain the bidding documents from the Procuring Agencies.	The Response Time is from June 1st to June 15th. This means any company that wants to bid must come to the office and collect the bidding documents within this window.
Services	A broad category of procurement that isn't goods or construction. It often involves an activity or task.	Hiring a security company to guard a building, or a catering company to provide food at a department's event, is procuring a service.
Supplier	A company that provides goods.	A company that wins the contract to supply 500 chairs and desks to schools is a supplier.

Official Term	Simple Meaning	Practical Example
Value for Money	The best balance of quality, cost, and service. It's not just the lowest price.	Buying a cheap printer for Rs. 10,000 that requires expensive ink cartridges and breaks down often is poor Value for Money. Spending Rs. 25,000 on a reliable printer with cheap ink is better Value for Money over its lifetime.

Rule 3: Scope and Applicability.

Who and What These Rules Apply To

This is a fundamental rule that defines the reach of the BPPRA regulations. It answers the questions: "Who must follow these rules?" and "What must they follow them for?"

Who Must Follow These Rules? (The "Who")

All Procuring Agencies. This means every single government department, office, agency, and institution under the Government of Balochistan.

- **Examples:** Health Department, Education Department, Public Works Department, Balochistan University, all District Administrations.

What Must They Follow Them For?

(The "What")

All Procurements. This means every purchase of:

- **Goods:** Any physical item, from paper and pens to vehicles and medical equipment.
- **Works:** Any construction project, like building a road, a school, or a dam.
- **Services:** Any non-consulting service, like hiring a security firm or a catering company.
- **Consultancy Services:** Hiring experts for their brains, like engineers, lawyers, or financial advisors.

Geographical Reach (The "Where")

The rules apply everywhere, whether the procurement happens:

- **Within Balochistan,** or
- **Outside Balochistan** (e.g., if a Balochistan department buys equipment from a supplier in Karachi or another country).

The Exception Clause

The phrase "**Save as otherwise provided...**" means that these rules apply unless a specific exception is written elsewhere in the rules themselves.

Example: The rules themselves state that "Petty Purchases" below a certain value are exempt from full bidding processes. So, that is an exception provided for within the rules.

In a Nutshell: This rule casts a very wide net. It leaves no room for doubt: If you are a government entity(Department / Procuring Agency) in Balochistan buying anything, you must follow the BPPRA rules. This ensures uniformity, transparency, and fairness across the entire province.

B- PRINCIPLES, LANGUAGE AND PROCUREMENT COMMITTEES

This section covers the core principles behind all procurement and explains who does the work.

Rule 4: Principles of Procurement.

Every purchase must be Fair, Transparent, and provide Value for Money. The process itself must be Efficient and Economical.

What it means in simple terms: Think of these as the commandments of buying for any department. You can't just buy from your friend's company. You have to show everyone you're getting the best possible deal for the citizens.

- **Fair:** Everyone gets the same chance. No favoritism.
- **Transparent:** Everything is done out in the open. Decisions are recorded and can be justified.
- **Value for Money:** You buy the best you can afford, not just the cheapest. A cheap product that breaks in a month is a waste of money.
- **Efficient & Economical:** Don't waste time or money on a overly complicated process for a simple purchase.

Rule 5: Conflict with International and Inter-Governmental Agreements.

When International Rules Override Local Rules

What it says: If the Government of Balochistan has signed a deal with another country or an international organization (like the World Bank), and that deal's rules conflict with the BPPRA rules, the international deal's rules win.

What it means in simple terms: If you're playing a local game, but then you join an international tournament, you have to follow the international tournament's rules. This rule ensures Pakistan and Balochistan keep their promises on the world stage.

Example: If the World Bank is funding a road project, they might have their own procurement guidelines. Those guidelines would be followed for that specific project, even if they are slightly different from BPPRA's rules.

Rule 6: Language

What it says:

1. All procurement paperwork must be in English or Urdu.
2. Advertisements for tenders (NITs) must be published in both English and Urdu.
3. If there's ever a confusion or dispute, the original documents kept on file are the official versions that decide the matter.

What it means in simple terms: This ensures everyone in Pakistan can understand and participate. Using both national languages makes the process accessible. Point (3) is crucial: it means you must keep perfect records, as those original documents are the ultimate proof of what was communicated.

Rule 7: Constitution of Procurement Committees.

Forming the Procurement Committee (The Buying Team)

What it says:

1. **Who Forms It:** The Head of the Department (e.g., the Secretary) must approve the formation of one or more Procurement Committees.
2. **Who is On It:**
 - The committee must have an odd number of members (3, 5, 7) to avoid tied votes.
 - It must be led by a senior officer (at least BPS-18).
 - At least one-third of the members must be from other departments (not the one doing the buying). This brings independence and checks and balances.
3. **Quorum:** To make decisions, at least two-thirds of the members must be present, including the chairperson and the external members.
4. **Technical Help:** For complex purchases (like a dam or IT system), the main committee can form a Bid Evaluation Committee (BEC) of at least three technical experts to handle the technical details.

What it means in simple terms: You can't have one person deciding on a big purchase. You need a **team**. This rule ensures the team is:

- **Balanced:** Has enough people to make a good decision.
- **Senior:** Led by someone experienced.
- **Independent:** Includes outsiders to prevent corruption or bias within the department.
- **Expert:** Can get technical help when needed.

Example: The Health Department wants to buy an MRI machine. They form a committee of 5:

1. A senior official from Health (BPS-19) as Chairperson.
 2. A doctor from the hospital.
 3. A finance officer from Health.
 4. An engineer from the Communications Department (external member).
 5. A deputy secretary from the Finance Department (external member).
- This mix of internal and external members makes the process fairer.

Rule 8: Functions and Responsibilities of Procurement Committee(s).

What the Procurement Committee Actually Does

What it says: The Committee is responsible for:

- (a) Making sure the whole process follows the rules.
- (b) Evaluating all bids – both on technical grounds (is it good quality?) and financial grounds (how much does it cost?).
- (c) Checking that the winning bidder is truly qualified (post-qualification).
- (d) Writing a report explaining why they chose the winning bid.
- (e) Recommending who should get the contract to the Competent Authority (the senior official who signs the contract).
- (f) Doing any other related tasks.

What it means in simple terms: This is the job description for the Buying Team. They are the engine of the procurement process. They do the hard work of reviewing all offers, comparing them, and presenting a reasoned choice to the boss for a final decision. Their most important product is the evaluation report, which justifies their decision to everyone.

C- MAINTENANCE OF RECORD

This section is all about documentation and openness. It ensures that every decision can be proven and checked by anyone.

Rule 9: Record of Procurement Proceedings. The "Keep Everything" Rule

What it says:

1. Every government department must keep a complete record of every purchase they make.
2. This includes every single document related to the process: the initial ad, all bids received, evaluation notes, the signed contract, etc.
3. These records must be kept for at least five years, or until the audit of that purchase is finished, whichever is later.

What it means in simple terms: You must not throw anything away. Imagine you're building a detailed scrapbook for every single thing you buy. This scrapbook is your proof that you followed all the rules correctly.

- **Why?** For **accountability** and **audit**. If anyone (like BPPRA, auditors, or even a court) ever has a question about how a decision was made, you can open your file and show them the entire story, step-by-step.
- **"Whichever is later":** If the audit for a project happens in year 6, you must keep the records until that audit is done, even though it's past the 5-year mark.

Example: The Education Department buys new desks in 2023. They must keep all the paperwork (the list of needed desks, the advertisements, the quotes from suppliers, the meeting minutes where they chose the winner, the contract, and the payment receipts) safely filed until at least 2028.

Rule 10: Transparency.

What it says:

For all purchases except very small ones (Petty Purchases and Request for Quotations), the department must upload three key documents online:

- a) The **Letter of Award** (the letter saying "You won the contract!")
- b) The **Contract Agreement** (the full, signed contract)
- c) The **Contract Evaluation Report** (the report explaining why that bidder was chosen)

These must be published on the BPPRA website and on the department's own website (if it has one). This rule moves beyond just keeping records for auditors. It's about active transparency for the public.

- **Why?** To build **public trust**. Citizens, journalists, and competing companies can see exactly what the Department/Procuring Agency is buying, who they are buying it from, and most importantly, **why** they chose that supplier. This makes it very hard to hide corruption or unfair decisions.
- **The Evaluation Report is Key:** Publishing this report forces the Procurement Committee to do a thorough job. They know their reasoning will be seen by everyone, so it must be clear, fair, and based strictly on the rules.

Example: The Health Department awards a contract for new ambulances. They must immediately publish:

1. The letter to Medico Motors stating they have won the bid.
2. The full, signed contract with Medico Motors.
3. The report that shows how Medico Motors scored highest on both technical features (e.g., engine quality, medical equipment) and price, making them the "lowest evaluated bid."

This allows any other company that bid to see they lost fairly, and allows the public to see how their tax money is being spent.

In a nutshell: Rule 9 is about keeping your receipts. Rule 10 is about posting them online for the whole world to see. Together, they are the foundation of a clean and trustworthy procurement system.

PART- II

PROCUREMENT OF GOODS, WORKS AND RELATED SERVICES

A – PROCUREMENT PLANNING

This section is about thinking before you buy. It ensures the Departments/Procuring Agencies plan its purchases wisely, avoids tricks, and writes clear requirements.

Rule 11: Procurement Planning

The Annual Shopping List

What it says:

1. **Mandatory Plan:** Before the financial year starts, every department **must** create a detailed shopping list for everything it plans to buy that year. This list must be based on actual needs and the budget they have.
2. **Publish the Plan:** This annual shopping list **must be uploaded online** (on the BPPRA website and the department's own website) for everyone to see.
3. **Update the Plan:** The plan is not set in stone. It can be updated during the year if things change (e.g., a project is delayed, new funds arrive, priorities shift). This is allowed as long as the changes are for the good of the project.

What it means in simple terms:

You can't just wake up one day and decide to buy a fleet of cars. You have to **plan for it in your budget** and tell everyone what you intend to buy for the whole year. This prevents reckless spending and allows companies to see what opportunities are coming up.

Example: The Education Department's annual procurement plan shows they will need 50,000 new textbooks in Quarter 1 and 500 new student desks in Quarter 3. A book publisher sees this plan and knows to prepare for the tender.

Rule 11-A: Electronic Public Procurement. Go Digital

What it says: For all large purchases, departments **must** use the official online system (the Electronic Public Procurement System) developed by BPPRA.

- **Works:** Over Rs. 30 Million
- **Goods:** Over Rs. 5 Million
- **Services/Consultancy:** Over Rs. 1 Million

What it means in simple terms: No more paper! Big purchases must be managed through a central online portal. This makes the process faster, more transparent (everyone can see the activity), and reduces the chance for manual manipulation or lost files.

Example: Instead of submitting a physical bid for constructing a bridge, a construction company uploads all its documents securely to the BPPRA's ePPS online portal against the specific tender.

Rule 12: Limitation on Splitting or Regrouping of Proposed Procurement..

The "No Cheating" Rule

What it says: You **cannot** break a large purchase into several small ones, or combine small ones into a large one, just to avoid following the proper rules.

You are ONLY allowed to split or combine if:

- **a.** Buying everything at once would lock up too much money and stall other projects.
- **b.** It will actually lead to a better quality outcome.
- **c.** For construction, if weather or different locations make one big contract impractical.
- **d.** In a genuine emergency.

And you must: Update your published procurement plan online to show and justify any splitting or packaging you do.

What it means in simple terms: This rule stops a common trick. For example, you need 20 new computers (total value Rs. 2.5 million). The rule says you must tender for all 20 together. You cannot issue 20 separate orders for 1 computer each (at Rs. 125,000 each) just because each order is below the tender limit. That is called splitting and it is illegal.

Rule 13: Specifications:

Writing a Fair Shopping List

What it says:

1. **Be Fair and Generic:** Your requirements must be open to all companies. You cannot write your shopping list to favor one specific brand.
 - **Don't say:** "We need a Toyota Hilux 2024 model."
 - **Do say:** "We need a double-cabin 4x4 pickup truck with a 2.8L diesel engine (or equivalent)."
2. **No Used Goods:** You cannot buy used or reconditioned machinery or equipment.

What it means in simple terms: This rule ensures a fair fight. If you specify only "Toyota", you are unfairly excluding companies that sell other good quality trucks like Honda or Mitsubishi. Using "or equivalent" allows other companies to offer their similar products, which increases competition and can get you a better price.

Rule 14: Approval Mechanism.

Don't Delay!

What it says: The Procurement Committee must work quickly. After they finish evaluating bids, they must immediately send their report and recommendation to the Competent

Authority (the boss who can sign the contract). This must be done well before the bid validity period expires.

What it means in simple terms: Companies' offers (bids) are only valid for a fixed time (e.g., 90 days). If the Procuring Agency takes too long to decide, the company's offer might expire, and they could withdraw or increase their price. This rule forces the Procuring Agency to be efficient and respectful of bidders' time.

Example: The bid validity ends on December 1st. The Procurement Committee must finish their evaluation and get the approval from the Secretary by mid-November to ensure there is enough time to sign the contract before the deadline.

B: Notification and Advertisements

(Rules 15, 16, and 17).

This section is all about how the Procuring Agencies must announce its needs to the world. The goal is to let as many companies know as possible to ensure strong competition.

Rule 15: Methods of Notification and Advertisement

How to Advertise a Tender

This rule is about **where** and **how** to tell people about a procurement opportunity. The method depends on how much money you are spending.

The Rule in a Nutshell:

If the Purchase is...	You MUST Advertise Here...	And You CAN ALSO Advertise Here...
Over Rs. 0.2 million (200,000) and up to Rs. 2 million	On the BPPRA website.	In newspapers, if the department thinks it's necessary.
Over Rs. 2 million	1. On the BPPRA website. 2. In at least two newspapers (one English, one Urdu).	On the department's own website.

What must the advertisement say?

The Notice Inviting Tender (NIT) must include clear details so companies know what they're getting into:

- **Who you are:** The department's name, address, and contact info.
- **What you need:** The purpose and scope of the project.
- **Who can apply:** The basic qualifications a company needs to have.

- **The important dates:** When companies can get documents, submit bids, and when bids will be opened.
- **The costs:** How much the tender documents cost and the amount of bid security needed.

International Bidding: If the tender is open to international companies, the advertising must have a much wider reach, including international publications or websites.

Simple Meaning: You can't hide a tender. You have to shout about it in all the right places so every potential supplier has a fair chance to hear about it and compete.

Rule 16: Response Time: Giving Companies Enough Time

What it says: The Procuring Agency must give companies a minimum amount of time to prepare and submit their bids. This time is counted from the day the tender is advertised.

- **For National Bidders:** At least **15 calendar days** (including holidays).
- **For International Bidders:** At least **30 calendar days**.

Crucially, the bidding documents must be available for companies to buy or download **on the very first day** the tender is advertised.

Why is this important? Preparing a good bid takes time. Companies need to:

- Read and understand the complex documents.
- Cost out everything accurately.
- Prepare samples or technical designs.
- Get bid security from the bank.

This rule stops the Procuring Agency from rushing companies, which would lead to bad bids or only allow a few well-connected companies to apply.

Simple Meaning: Don't rush the bidders. You must give them a fair and reasonable amount of time to do their homework and give you their best offer.

Rule 17: Exceptions The Only Excuse

What it says: There are NO EXCEPTIONS to the advertising and response time rules... unless it is a matter of National Security.

And even then:

- The **Head of the Department** must give prior approval.
- They must state in writing that publicly advertising the tender would reveal secrets and **jeopardize national security objectives**.

What it means in simple terms: You cannot skip the advertising rules because you're too busy, because it's inconvenient, or because you already have a company in mind. The only acceptable reason is if buying something in secret is literally vital for the safety of the country (e.g., purchasing equipment for intelligence agencies).

This rule slams the door shut on anyone trying to use fake "emergencies" to avoid a transparent process.

Example (Valid Exception): The Ministry of Defence needs a specialized encrypted communication system. Publicly advertising the technical specifications would reveal capabilities to enemies. Therefore, they can get an exemption from public advertising.

Example (Invalid Exception): "We need to buy furniture quickly before the Minister's visit, so we don't have time to advertise." This is **not** allowed.

C - PRE-QUALIFICATION AND DIS-QUALIFICATION OF SUPPLIERS AND CONTRACTORS

Picking the Right Players for the Big Game

This section is about filtering companies to ensure only those who are serious, capable, and qualified get to submit full bids for complex projects. It also covers how to kick out players who break the rules.

Rule 18: Pre-Qualification of suppliers and contractor.

What it says: Pre-qualification is like a first-round audition. It's used for huge, complex, or critical projects to weed out companies that don't have the muscle to do the job before they spend a fortune preparing a full bid.

Use pre-qualification for:

- **Massive Projects:** Large and complex constructions (e.g., a major dam, a specialized type of highway).
- **Special Contracts:** Projects where one company designs and builds (Turnkey).
- **High-Tech Gear:** Buying very expensive and technically complex machinery.
- **Critical Items:** Procuring complex drugs or medical services.

What do you check in the audition?

You judge companies based on:

- **Their Resume:** Experience and past performance on similar jobs.
- **Their Tools:** Construction or manufacturing capabilities.
- **Their Bank Balance:** Financial strength to handle the project.
- **Their Team:** Qualifications of their key personnel and equipment.
- **Their Management:** Managerial ability to run a big project.

Simple Meaning: Don't waste everyone's time. For a big job, first check if a company is even capable of doing it. You wouldn't ask a local carpenter to audition for building a skyscraper.

Example: A Procuring Agency wants to build a new airport. Instead of letting every construction company in Pakistan submit a full bid, they first run a pre-qualification to create a shortlist of only those firms that have built airports before and have the financial strength to handle a project of that size.

Rule 19: Process of Pre-qualification

How to Run the Pre-Qualification Process

What it says: This is the step-by-step guide for a fair audition process.

1. **Advertise the Audition:** Announce the pre-qualification opportunity just like a normal tender (on websites, in newspapers).
2. **Provide the Script:** Give companies a document that clearly explains what you need and how they will be judged.
3. **Shortlist the Best:** Only companies that meet all the pre-qualification criteria make it to the next round. They are the only ones invited to submit a full bid.
4. **Check Their Facts:** You can verify the information they provided. If they lied, they are out.
5. **Notify Everyone:** Tell every applicant if they passed the audition or not. If a company asks why they failed, you must tell them the reason (e.g., "You lacked experience in bridge construction").
6. **Be Transparent:** The list of pre-qualified companies should be available to the public upon request.

Simple Meaning: The pre-qualification process itself must be fair, clear, and transparent. You can't just pick your favorites behind closed doors.

Rule 20: Eligibility. Who is Allowed to Play?

What it says: The default rule is that **everyone** is allowed to compete.

You can only block a company from bidding in two situations:

1. **Government Ban:** If the Government has officially banned doing business with companies from a specific country.
2. **Blacklisted:** If the company has been formally blacklisted by any Department/Procuring Agency for corruption or fraud.

What about Government Companies? Government-owned companies (e.g., a provincial construction corporation) can only bid if they are truly independent and run like a commercial business, not just a government department. An exception is made for unique national institutions like certain universities.

No Private Lists: A government department cannot create its own private "approved vendor list."

Simple Meaning: The door is open to all, unless there is a very good, official, and legal reason to close it to someone.

Rule 21: Qualification of Suppliers and Contractors

Double-Checking at Any Time

What it says: Even if a company was pre-qualified or is already bidding, if you get a credible tip or see evidence that they are not actually qualified, you can stop them and ask for proof of their capabilities.

Crucially, you must **record your reasons** for this double-check in writing and add it to the official record.

Simple Meaning: Trust, but verify. If you hear a company is about to go bankrupt in the middle of a tender, you have the right to pause and ask them to prove they are still financially sound.

Rule 22: Disqualification of Suppliers, Contractors and Consultants

Getting Kicked Out of the Game (Disqualification)

What it says: A company must be disqualified (thrown out of the process) if:

1. **They Lied:** If they provided false information about their experience, finances, or qualifications at any stage.
2. **They Cheated:** If they are found to be involved in corrupt or fraudulent practices (bribery, collusion, etc.).

Right to Appeal: A company that has been disqualified has the right to appeal the decision through the official grievance process (Rule 56).

Simple Meaning: Play fairly or you're out. Lying on your application or trying to bribe an official will get you immediately removed from the tender and likely blacklisted. This is the core enforcement mechanism to keep the process clean.

Rule 23: Blacklisting of Suppliers, Contractors and Consultants.

This rule explains the Department's ultimate penalty for companies that behave very badly:

Blacklisting. This means banning a company from doing any business with the government departments for a period of time.

What Gets You Blacklisted?

A company will be blacklisted if it is found guilty of any of these serious offenses:

The Offense	What It Means in Simple Terms	Example
1. Criminal Conviction	The company or its owners have been convicted in a court of law for a serious crime related to dishonesty.	The director of a supply company is found guilty of forging bank documents to show fake financial strength.
2. Corruption in Procurement	The company was involved in bribery or fraud to win a government contract.	A construction company is caught bribing a member of the evaluation committee to score their bid higher.

The Offense	What It Means in Simple Terms	Example
3. Tax Evasion	A court has finally ruled that the company has been cheating on its taxes.	A tribunal finds that a supplier has been hiding its income to avoid paying millions in taxes to the government.
4. Willful Failure to Perform	The company deliberately and knowingly failed to do the job it was hired for.	A contractor wins a road-building project but then abandons the site without a valid reason, leaving the road half-finished.
5. Failure to Fix Problems	The company did a shoddy job, was told to fix it, and refused or failed to do so.	A IT company installs faulty software in an office. The department tells them to repair it, but they keep making excuses and never fix the problems.

How Does the Blacklisting Process Work?

1. **Investigation:** The government department can start an investigation on its own or based on a tip-off. They must gather evidence to see if there is a strong case for blacklisting.
2. **Decision:** After the investigation, the department can decide to:
 - **Permanently Blacklist** the company.
 - **Temporarily Debar** them for a specific number of years (e.g., banned for 5 years).
 - Give them a **final warning** and a deadline to fix the issues, and only blacklist them if they fail.
3. **Public Disclosure:** The decision to blacklist must be made public. It must be sent to BPPRA and published on the department's and BPPRA's websites. This ensures all other government departments know not to work with this company.
4. **Right to Appeal:** The company has the right to appeal the blacklisting decision to BPPRA if they believe it was unfair.

Simple Meaning: This is the Government Department's most powerful tool to enforce good behavior. If a company is corrupt, criminally dishonest, or utterly fails to deliver on its promises, it can be banned from all government work. This protects public money and rewards honest, reliable businesses.

In a nutshell: Play by the rules, do good work, and you're welcome. Cheat, lie, or fail deliberately, and you're out of the game.

D: Methods of Procurement

Choosing How to Buy

This section covers the standard methods for buying things and the basic rules for how companies must submit their offers.

Rule 24: The Two Main Types of Bidding.

This rule establishes that Open Competitive Bidding (publicly inviting everyone to compete) is the default, gold-standard method. It then breaks this down into two categories:

What it says: There are two main ways to conduct an open tender, depending on the value and nature of what you're buying.

Type of Bidding	When to Use It	Key Thing to Remember
International Competitive Bidding (ICB)	1. For all purchases valued at \$10 million or more. 2. For purchases under \$10 million if the needed technology or expertise is not available in Pakistan.	The whole world is invited. This is used for very large or highly specialized projects to get the best global competition and prices. Requires approval from the Head of Department.
National Competitive Bidding (NCB)	1. For all purchases valued under \$10 million. 2. For purchases over \$10 million if the item is of a type that foreign companies wouldn't be interested in (e.g., local gravel, certain local services).	Only Pakistani companies are invited. This protects local industry for smaller or locally-specific contracts. The Head of Department must justify in writing if using this for a large purchase.

Simple Meaning: The bigger and more complex the purchase, the wider you must cast your net. Use the local market for smaller things, but go global for huge projects to ensure you get the best deal.

Example (International Competitive Bidding): Building a new international airport in Quetta (a project worth hundreds of millions of dollars) would use **ICB** to attract experienced airport builders from around the world.

Example (National Competitive Bidding): Buying 1000 office chairs for various government offices in Balochistan (a project worth a few million rupees) would use **NCB**, as local furniture manufacturers can easily meet this need.

Rule 25: Submission of Bids

The Rules for Submitting a Bid

What it says: This rule sets the non-negotiable ground rules for how companies must submit their proposals.

1. **Deadline is Sacred:** Bids must be submitted on the exact date, time, and at the place specified in the tender documents. A bid that is even one minute late, for any reason, must be rejected. No exceptions.
2. **How to Submit:** Bids can be submitted physically (by hand or mail) or electronically, as long as it follows the instructions in the tender.
3. **One Company, One Bid:** A company can only submit one bid per tender. They cannot submit multiple different offers under different names or subsidiaries. This is tracked by their National Tax Number (NTN).
4. **No Conditions Allowed:** A bid must be a firm offer. A company cannot say "we accept, but only if you also give us the next contract" or "our price is valid only if the dollar rate doesn't change." Conditional bids are thrown out.

Simple Meaning: The bidding process is strict and formal. It's designed to be absolutely fair to everyone. You can't bend the rules for anyone, and companies must put their best, firm offer on the table without any tricks or special conditions.

Example: If the bid submission deadline is November 15th at 2:00 PM sharp, a bid that arrives at 2:30 PM must be returned unopened. It doesn't matter if the courier van had a flat tire.

Rule 26: Provision of Bidding Documents

What it says: This rule is about the **bidding documents** themselves

Must Provide to All: The government department **must** make the bidding documents available to **any and all** interested companies who ask for them.

1. **Can Charge a Fee:** The department can charge a fee for these documents, but this fee **can only cover the cost of printing and preparation**. It cannot be used to make a profit or to discourage companies from applying.

Simple Meaning: The Procuring Agency must provide the "rulebook" for the tender to anyone who wants to play. They can charge a small fee to cover their photocopying costs, but that's it.

Example: The bidding documents for a new school building might be a 200-page document. The department can charge a fee of Rs. 2000 to any company that wants a copy, which is a reasonable amount to cover the cost of producing such a large document. They cannot charge Rs. 20,000.

Rule 27: Contents of Bidding Documents.

This rule defines what must be inside the **Bidding Documents**—the packet of information given to companies that want to bid. Think of it as the official rulebook for the competition. A good rulebook leaves no room for confusion or unfairness.

What MUST Be in the Bidding Documents? (The Checklist)

The tender packet must be a complete guide. Here's what it must include, explained simply:

What's in the Doc?	Why It's Important (Simple Meaning)
(a) Invitation Letter	A formal letter saying, "We are inviting bids for this project."
(b) Data Sheet	A summary of key facts about the project.
(c) Instructions for Bidders	A step-by-step guide on how to fill out and submit the bid correctly. This prevents mistakes that could get a bid rejected.
(d) Bid Security & Performance Guarantee Info	Explains how much the refundable deposit (bid security) must be and what form it should take (e.g., a bank guarantee). Also explains the security needed after winning (performance guarantee).
(e) Submission Details	The exact date, time, place, and method for submitting bids. This is crucial for Rule 25 (no late bids).
(f) Bid Opening Details	The date, time, and place where bids will be publicly opened.
(g) Procurement Method	States whether it's National Competitive Bidding (NCB) or International Competitive Bidding (ICB).
(h) Evaluation Criteria	It must clearly explain how bids will be scored. (e.g., "Price is 60% of the score, technical capability is 40%. Here is the list of technical points we will check."). This ensures the selection is objective, not subjective.
(i) Draft Contract Terms	The full set of legal terms and conditions the winner will have to sign. This lets companies know what they are agreeing to before they bid.
(j) Technical Specifications	The detailed description of what you want to buy. (e.g., For a laptop: "Must have an i7 processor, 16GB RAM, 512GB SSD..."). This must be generic and use "or equivalent" to ensure fairness (as per Rule 13).
(k) Price Calculation	Explains how to formulate their price, including what taxes (like GST) they are responsible for. This ensures all bids are calculated the same way and can be compared fairly.
(l) Currency	Specifies which currency to use (e.g., Pakistani Rupees, US Dollars).
(m) Bid Validity Period	States how long (e.g., 90 days) the company's offer must remain valid. This gives the Procuring Agency time to evaluate bids without the company withdrawing or changing its price.

What's in the Doc?	Why It's Important (Simple Meaning)
(n) Integrity Pact	A contract that both parties sign promising not to engage in bribery or corruption. It's a anti-corruption tool for large contracts.
(o) Other Info	Any other relevant information as required by department.

Other Important Principles in this Rule

1. **Clarifications for Everyone:** If, after releasing the documents, the Procuring Agency needs to clarify or change something, it must send that clarification to every single company that bought the documents. You can't just tell one company and not the others.
2. **Standardized Documents:** Departments should use the standard bidding document templates provided by BPPRA to ensure consistency and compliance.
3. **Publish Online:** The full set of bidding documents must be uploaded to the BPPRA website and the department's website on the same day the tender is advertised. This is the peak of transparency—anyone in the world can see exactly what is required.

In a Nutshell: This rule ensures the tender process is a fair and transparent race where everyone runs the same course and knows the rules beforehand. A well-written set of bidding documents prevents disputes, reduces corruption, and leads to better outcomes for the Department /Procuring Agency.

Rule 28: Reservations and Preference.

These rules cover how to support local businesses, protect the government Departments/Procuring Agencies from unserious bidders, and ensure quality after a purchase.

What it says: This rule balances open competition with the government's goal to support and develop Pakistani industries.

1. **Open to All (Default):** As a general rule, bidders of any nationality can participate. You can't exclude a company just because it's from another country.
2. **When You Can Restrict:** You can limit bidding to Pakistani companies only if:
 - The Government has a policy to do so for certain items.
 - It's allowed under other BPPRA rules (like National Competitive Bidding for projects under \$10 million).
3. **Price Preference for Locals:** Even in international tenders, the government can give a **price advantage** to Pakistani companies.
 - **How it works:** A Pakistani company's bid is considered to be a certain percentage (e.g., 15%) lower than it actually is for evaluation purposes.
 - **Example:** A German company bids Rs. 100 and a Pakistani company bids Rs. 110. With a 15% price preference, the Pakistani company's bid is evaluated as Rs. 110 - 15% = Rs. 93.5. Therefore, the Pakistani bid is considered cheaper and wins, even though its actual price was higher. This helps local industry compete.
 - **Crucially,** the exact percentage of this preference must be clearly stated in the bidding documents so all bidders know the rules from the start.

Simple Meaning: We want the best value, but we also want to help our own businesses grow. The rules allow for a controlled way to give Pakistani companies a fighting chance against large international firms.

Rule 29: Bid Security

What it says: A **Bid Security** is a refundable deposit that a bidder must submit with their proposal. It's a financial guarantee that they are serious and won't back out frivolously.

Key Point	Simple Meaning & Purpose	Example
How Much?	Usually 2% of the bid value. For very complex projects, it can be up to 5% .	For a Rs. 100 million project, the bid security would be Rs. 2 million.
What Form?	Usually a Bank Guarantee or a deposit. This ensures the money is real and accessible.	The bidder goes to their bank and gets a guarantee paper stating the Department/Procuring Agency can claim Rs. 2 million if the bidder breaks the rules.
When Returned?	• Failed Bidders: Their security is returned soon after they are eliminated. • Unsuccessful Bidders (who made it to the final round but didn't win): returned within 30 days of the contract being awarded. • Winner: Their security is returned once they sign the contract and provide a Performance Guarantee.	Three companies bid. Company A is rejected for being non-responsive – they get their security back quickly. Companies B and C are evaluated but Company B wins. Company C gets its security back within 30 days. Company B after signing the contract.
When Forfeited?	The Department/Procuring Agency keeps the money if a bidder: • Withdraws their bid after the public opening. • Refuses to sign the contract after winning. • Fails to provide the required Performance Guarantee. • Disputes the correction of a simple math error in their bid.	Company X wins the bid but then says, "Actually, we don't want the project anymore." The Department/Procuring Agency keeps their Rs. 2 million bid security as compensation for the time wasted and to re-start the process.

Simple Meaning: . The bid security ensures that only serious companies bid and that the winner will follow through. It protects the Departments/Procuring Agencies from time-wasters.

Rule 29-A: Goods Warranty

What it says: Whenever possible, the Procuring Agency must require a warranty for the goods it buys. The supplier must promise to repair or replace faulty items for a specific period after delivery.

- The length of the warranty period and what it covers must be clearly written in the bidding documents and the final contract.

Simple Meaning: It ensures that the supplier is responsible for the quality of their product after the sale is complete. If a new computer stops working after 3 months, the supplier must fix it for free.

Example: A Department buys 100 printers. The contract includes a 1-year warranty. If 10 printers break down within that year, the supplier is obligated to repair or replace them at no extra cost to the department. This protects public money.

Rule 30: Bid Validity

This rule is about the **Bid Validity Period**—the fixed amount of time for which a bidder's offer (their price and terms) must legally remain open for acceptance.

What it says: Every bid must have a clearly stated validity period. This period starts from the date of the public opening of the financial bids.

- **For National Bids (NCB):** The offer must be valid for no more than 90 days.
- **For International Bids (ICB):** The offer must be valid for no more than 120 days.

Why is this important? Prices for materials, labour, and exchange rates can change. This rule protects bidders from being forced to honour a price that is no longer feasible due to market fluctuations after a long delay. It gives the department/Procuring Agency a reasonable but firm deadline to evaluate bids and award the contract.

Simple Meaning: A company's price quote doesn't last forever. The Department must make a decision within the bid validity period, or the company can walk away.

Extension of Validity Sometimes, the evaluation takes longer than expected. This rule sets a strict process for extending the bid validity.

The Rule

What It Means in Simple Terms

1. Needs Approval:

An extension must be approved by the Competent Authority. They must record the reasons for the delay in writing.

The Rule	What It Means in Simple Terms
2. Find the Fault:	If the delay was due to Procuring Agency's inefficiency or slowness ("slackness"), the boss must find out who was responsible and take disciplinary action.
3. Ask Everyone:	The Procuring Agency must ask all bidders (not just the likely winner) to extend their validity period. This request must be made before the original expiry date.
4. Limit on Extension:	The extension cannot be longer than the original validity period (e.g., you can't add more than 90 days to an National Competitive Bidding).
5. Bidder's Right to Refuse:	This is key. Any bidder can say NO to the extension. If they refuse, they can withdraw their bid and get their bid security refunded immediately, no penalties.
6. No Changes Allowed:	Bidders who agree to extend cannot change their price or any conditions of their bid. Their original offer stands firm for the new period.

Simple Meaning: Extending the deadline is a big deal. It's not an automatic right of the Procuring Agency. Bidders have the power to refuse, so the Procuring Agency must be efficient to avoid this situation.

What If There's a Court Case? (Involuntary Delay)

What it says (Point 7): If the entire procurement process is put on hold by a court order (e.g., another bidder files a lawsuit), the rules change.

- Once the court case is settled, bidders will be given a choice: extend their bid validity further or withdraw.
- Crucially, if a bidder chooses to withdraw because of this court-induced delay, they get their bid security back. It is not their fault, so they should not be penalized.

Simple Meaning: This is a fair-play clause. Bidders should not be punished for delays completely beyond anyone's control, like a legal challenge.

In a Nutshell: The Bid Validity Period is a crucial protection for both parties:

- **For Bidders:** It limits their financial risk from changing market conditions.
- **For the Procuring Agency:** It creates urgency and ensures they get current, firm prices.

The extension process ensures this protection isn't abused by department/Procuring Agencies, while also providing a fair way to handle genuine, unforeseen delays.

Rule 31: Extension of Time Period for Submission of Bids

Changing the Submission Deadline

This rule is about the **deadline for submitting bids**. This rule explains the very rare and specific situations where the Procuring Agency is allowed to extend it.

When Can the Deadline Be Extended?

The Procuring Agency can **only** extend the bid submission deadline under one of these three strict conditions:

Condition	What It Means	Example
1. To Get More Competition (Rule 31a)	If fewer than 3 bids are received, and the Procurement Committee all agree that extending the deadline might attract more bidders and better competition. CRUCIALLY: If this happens, all bids already submitted must be returned unopened to the bidders.	A tender for a specialized software receives only 2 bids. The committee believes more companies might be interested if given more time. They extend the deadline by 2 weeks. The 2 bids already in hand are sealed and given back to those companies. Everyone must submit anew.
2. Due to an Emergency (Rule 31b)	If a major crisis like a natural disaster (flood, earthquake) or a severe law and order situation (strikes, riots) makes it impossible for bidders to prepare or submit their bids.	A cyclone hits Balochistan, causing widespread power and internet outages for a week, right before a bid deadline. The department extends the deadline to give companies time to recover.
3. Due to a Correction (Rule 31c)	If the Procuring Agency has to issue a corrigendum (an official correction or change) to the bidding documents. The 7-Day Rule: If the corrigendum is issued when there are less than 7 days left to the deadline, the deadline must be extended by at least 7 days from the date of the corrigendum.	The bidding documents had a mistake in the technical specifications. The Procuring Agency issues a correction notice. The original deadline was in 5 days. They must now extend the deadline to at least 7 days from the date of the correction notice, giving bidders a full week to adjust their proposals.

How Must the Extension Be Announced?

The proviso (provided that) states: The announcement of the extension must be made in the exact same way as the original tender was advertised.

- If the original was on the BPPRA website and in newspapers, the extension notice must also be on the BPPRA website and in newspapers.

- This ensures everyone finds out about the new deadline, maintaining fairness and transparency.

Simple Meaning: You can't change the deadline on a whim. The rules are extremely strict to prevent a department from extending a deadline just because their favorite company wasn't ready. Extensions are only allowed for genuine reasons that serve the public interest: to get more competition, in a real emergency, or to correct the Procuring Agency's own mistake.

The requirement to return bids unopened in the first scenario is critical—it ensures no bidder has an unfair advantage by having seen the competition before resubmitting.

Rule 32: Clarification and Modification of Bidding Documents.

This rule is the "quality control" mechanism for the tender documents. It ensures all bidders have exactly the same information and a fair understanding of what is required, even if the Procuring Agency made a mistake in the original documents.

Part 1: Answering Questions (Clarifications)

What it says: If a company has a question about the bidding documents, they can ask for a clarification.

1. **Must be in Writing:** The bidder must submit their question formally in writing.
2. **Deadline for Questions:** The question must be received by the government department at least 5 calendar days before the bid opening date.
3. **Deadline for Answers:** The department must answer in writing within 3 calendar days of receiving the question.
4. **Share with Everyone:** This is the most important part. The department's answer must be shared with every single company that bought the bidding documents.

Why is this important? This prevents "inside information." If only the company that asked the question got the answer, they would have an unfair advantage over others. Sharing it with everyone ensures a level playing field.

Example:

A bidder emails: "On page 25, the specification says 'IP65 rating'. Does the enclosure also need to be stainless steel?" The department must respond within 3 days: "Yes, the enclosure must be stainless steel to meet the IP65 requirement." This response is then emailed to all other bidders.

Modifications

What it says: Sometimes, the Procuring Agency realizes there is a major error or ambiguity in the bidding documents that a simple clarification cannot fix. In this case, they must officially correct it.

The Process for Changes:

1. **Issue a Corrigendum:** The Procuring Agency must prepare an official correction document called a corrigendum.

2. **Re-advertise the Change:** This corrigendum must be advertised in exactly the same way as the original tender was (e.g., on the BPPRA website, in newspapers) as per Rules 15 and 16.
3. **Extend the Deadline (Likely):** As we saw in Rule 31(c), if this corrigendum is issued when there is less than 7 days left to bid, the submission deadline must be extended by at least 7 days to give bidders time to adjust their proposals.

What is a "material infirmity"?

A major error that changes the game. For example:

- The wrong project location is listed.
- A key technical standard is missing or incorrect.
- The evaluation criteria are unclear or contradictory.

In a Nutshell: This rule ensures absolute fairness and transparency during the bidding stage. It mandates that all communication is written and shared with all, preventing any single bidder from gaining an advantage. It also holds the Department accountable for its own documents, forcing it to correct significant errors openly and fairly.

E- OPENING ,EVALUATION AND REJECTION OF BIDS

Rule 33: Opening of Bids.

This rule covers the crucial moment of Bid Opening. It is designed to ensure complete transparency and prevent any tampering or foul play after bids are submitted.

The Key Rules for Bid Opening:

Rule Point	Simple Meaning & Why It's Important
1. Same Day Opening	The bid submission deadline and the bid opening are on the same day, usually immediately after the deadline passes. This removes any chance for someone to sneak in and look at the bids before they are officially opened.
2. Open Quickly	Bids must be opened within one hour of the submission deadline. This prevents anyone from tampering with the bids or delaying the process for malicious reasons.
3. Public Event	The opening must be a public meeting. Any bidder can send a representative to watch the entire process. This public scrutiny is a powerful tool against corruption.
4. Read Aloud	As each bid is opened, the official must read out loud the name of the bidder and the total bid amount. This means everyone in the room hears all the prices at the same time. There are no secrets.
5. Sign Attendance	All bidders present must sign an attendance sheet. This creates an official record of who was there to witness the event.

Rule Point	Simple Meaning & Why It's Important
6. No Late Bids	Any bid submitted even a minute after the deadline is returned unopened. No exceptions. This maintains the integrity of the deadline and is fair to all who submitted on time.
7. Mark and Sign	The chairperson of the committee must circle the prices and every committee member must sign every page of the financial proposal. This prevents anyone from later changing the bid amount or pages.
8. Record Minutes	The committee must prepare official minutes (a formal record) of the opening ceremony. This document must note anything unusual, like handwritten changes on a bid.

Why This Public Ceremony is So Important:

It ensures:

1. **Transparency:** Everyone sees what happens. Companies can see that their bid was opened and that their competitor's higher price was announced.
2. **Accountability:** The committee members are on display. They know they are being watched and that every action they take is being recorded.
3. **Trust:** The process builds trust in the system. Even the losing bidders are more likely to accept the outcome if they saw it was fair.
4. **Prevention of Tampering:** The strict timing and signing rules make it nearly impossible to alter a bid after it has been submitted.

Example Scenario:

The deadline for road construction bids is 2:00 PM on Monday.

- **At 2:05 PM,** the Procurement Committee and any bidders who chose to attend gather in a conference room.
- **The Committee:** Opens a sealed box containing the bids.
- **For each bid:** They open the envelope, hold up the paper, and announce: "Company ABC, bid amount: Rs. 10.5 million!" and then record it.
- **A Representative from Company XYZ** hears this and knows their main competitor's price immediately.
- **The Committee:** Circles the amount on Company ABC's document and all members sign the page.
- **A bid from Company DEF** arrives at 2:02 PM. It is placed to the side, still sealed, and will be returned. It is not considered.

In a Nutshell: The bid opening is a public ceremony designed to prove that the process is fair, transparent, and beyond manipulation. It is the physical embodiment of the principles of public procurement.

Rule 34- Evaluation Criteria.

This rule covers the most critical part of the process: how bids are judged and compared. The goal is to ensure the evaluation is objective, fair, and based solely on what was promised in the beginning.

What it says: The procuring agencies must create a clear, detailed, and unambiguous set of evaluation criteria before any bids are received. This criteria must be part of the original bidding documents.

What this means:

- **No Moving Goalposts:** You can't decide how you will choose the winner after you see the bids. The rules must be set in stone from the start.
- **Must Be Detailed:** It can't just say "the best bid wins." It must say things like: "Price will count for 60% of the score. Technical merit will count for 40%. For technical merit, we will award points for experience (10 points), proposed methodology (20 points), and key personnel qualifications (10 points)."
- **Consequence for Breaking the Rule:** Failure to provide this clear criteria is considered **mis-procurement** (an illegal purchase).

Simple Meaning: Tell everyone exactly how you will grade the test before they take it. This prevents someone from changing the grading system to make their favorite company win.

Example: The bidding documents must state: "The lowest priced bid that meets all technical specifications will win." Or, for a more complex project: "The bidder with the highest combined score will win, where price is 70% and the proposed project timeline is 30%."

Rule 35: Evaluation of Bids

How to Run the Evaluation

This rule gives three important instructions for the evaluation phase:

1. **Follow the Pre-Defined Criteria:** You must evaluate bids strictly based on the criteria published in Rule 34. You cannot use any hidden or new factors.
2. **Currency Conversion:** If bids are in different currencies (e.g., US Dollars and Pakistani Rupees), convert them all to one currency (as specified in the bid documents) using the State Bank of Pakistan's selling rate from 7 working days before the bid opening. This ensures everyone is compared using the same fair exchange rate.
3. **Use the Old Rules:** Bids are evaluated based on the laws and policies that were in effect on the day the tender was advertised, not on the day it is evaluated. This protects bidders from sudden rule changes.

Simple Meaning: The evaluation must be a **fair, apples-to-apples comparison** using a predetermined and transparent method.

Rule 36: Clarification of bids

Clarification vs. Modification

This is a crucial distinction.

- **Modification is NOT allowed:** No bidder is allowed to change their bid after the deadline. This means they cannot alter their price, change the technical specifications of what they are offering, or fix a missing document.
- **Clarification is allowed:** The Procuring Agency can ask a bidder to explain something in their bid to help understand it better, but only if it doesn't change the substance.
 - **Allowed Clarification:** "Your bid says your lead engineer has 15 years of experience. Please provide their CV to confirm this."
 - **Illegal Modification:** "Your bid doesn't include a required electrical certificate. You can email it to us now." --> This is illegal because it fixes an incomplete bid after the deadline.

All such communication must be in writing to maintain a clear record.

Simple Meaning: You can ask for explanations, but you cannot let a bidder fix mistakes or improve their offer after the competition has closed.

Rule 37: Discriminatory and difficult conditions **No Unfair Advantages**

What it says: The Procuring Agency cannot include any condition in the tender that unfairly discriminates for or against any particular bidder.

How to judge if a condition is discriminatory? Check if it aligns with the ordinary practices of that industry. If it doesn't, it's probably discriminatory.

- **Discriminatory Condition:** "The supplier must have an office within 5 km of the Procuring Agency's building." (This unfairly excludes qualified companies from other cities for no good reason).
- **Non-Discriminatory Condition:** "The supplied medical equipment must be certified by the Pakistan Medical Commission." (This is a standard, fair requirement for that industry).

Simple Meaning: Create a level playing field. The requirements should be about the product and the company's ability to deliver, not about arbitrary conditions that favor one company over another.

In a Nutshell: These rules work together to make the evaluation process a neutral, technical exercise. The winner is chosen based on publicly known rules, not on personal preference, bias, or behind-the-scenes deals.

Rule 38: Cancellation of Bidding Process.

This rule explains the Procuring Agency right to cancel a tender process entirely after it has started but before a contract is signed. It's a significant power, but it comes with specific responsibilities.

What Does It Say?

1. **The Right to Cancel:** The government department (Procuring Agency) has the right to cancel the entire bidding process at any time before it accepts a bid (i.e., before it tells a company "you have won").
2. **No Financial Liability:** The Procuring Agency does not have to pay the bidders for any costs they incurred in preparing their bids (like printing, design, or getting a bank guarantee) just because it cancelled the process.
3. **Must Inform Everyone & Return Money:** The Procuring Agency must promptly notify all bidders that the process is cancelled and must immediately return their bid security (the refundable deposit).
4. **Must Give a Reason (But Not a Debate):** If any bidder asks why the process was cancelled, the Procuring Agency must tell them the reason. However, it does not have to argue about it or justify why that reason was good enough.

What Does This Mean in Simple Terms?

Think of it like this: The Procuring Agency can stop the tender "game" before picking a winner, but it must do so politely and return everyone's entry fee. It doesn't have to pay for your time and effort to practice for the game, but it does have to tell you why the game was called off.

Why would the Procuring Agency cancel a tender?

Some valid, good-faith reasons include:

- **Budget Cut:** The money for the project is no longer available.
- **Changed Needs:** The department's requirements have fundamentally changed.
- **No Good Bids:** All bids received were non-responsive or extremely over budget.
- **Discovery of Error:** A major flaw was found in the project design or bidding documents that can't be fixed with a simple correction.
- **Policy Shift:** A new government policy makes the project unnecessary.

What This Rule prevents?

This rule is designed to prevent abuse. It stops a department from:

- Cancelling a tender just because their preferred company didn't win and then re-tendering it with manipulated specifications to ensure that company wins next time.
- Using cancellation as a way to harass or disadvantage certain bidders.

Example Scenario:

- The Communications Department invites bids to build a new bridge.
- Five companies spend significant money and time preparing detailed bids and obtaining bid securities.
- After opening the bids, the department realizes a major error in its technical calculations, meaning all the bids are based on flawed information.
- **Action:** The department invokes **Rule 38**. It writes to all five companies: "The bidding process for the XYZ Bridge is cancelled due to a technical error in the design specifications. Your bid security is enclosed."

- If Company A asks "What was the technical error?", the department might reply: "A miscalculation in the load-bearing requirements." It does not need to provide detailed engineering reports to justify its decision.

In a Nutshell: This rule gives the Procuring Agency an emergency exit for a failed or obsolete tender process, but ensures this power is used transparently and without financial harm to the bidders, who get their deposit back. It balances Procuring Agency flexibility with contractor protection.

Rule 39: Re-issuance of Tenders.

The "Do-Over" Rule

This rule explains when and how a Procuring Agency can start a tender process all over again from the beginning. It is the natural follow-up to **Rule 38 (Cancellation)**.

When Can a Tender Be Re-Issued?

The Procuring Agency can announce a "do-over" and re-issue the tender under two specific scenarios:

Scenario	What It Means in Simple Terms
1. After a Cancellation (Rule 38)	The tender was cancelled for a valid reason (e.g., budget cuts, major error). The Department has fixed the underlying problem and is now ready to try again.
2. A Major "Fatal Flaw" is Found	After the tender is live, a huge mistake is discovered in the bidding documents that is so serious it can't be fixed with a simple clarification (Rule 32). The entire document is flawed and needs to be rewritten.
3. Mis-procurement is Declared	A higher authority (like the Head of Department or BPPRA) has officially declared that the original procurement was illegal (mis-procurement) because the rules were broken. The entire process is null and void and must be started anew.

The Key Permission in the "Do-Over"

The Proviso ("Provided that") states: When re-issuing the tender, the Procuring Agency is allowed to change the specifications, terms, and conditions in the new bidding documents.

Why is this important?

This allows the Procuring Agency to learn from its mistakes.

- If the first tender was cancelled due to a error in the technical specs, they can now correct them.
- If no bidders were interested because the requirements were too strict, they can loosen them.
- If the project needs have changed, the new documents can reflect that.

Simple Meaning: A re-issued tender isn't just a simple copy-paste of the old, failed one. It is a new, improved version that aims to ensure the "do-over" is successful.

Example Scenario:

1. **The Problem:** The Health Department invites bids for an MRI machine but writes the technical specifications in a way that only one specific German brand can qualify. This is a violation of **Rule 13** (must use generic specs).
2. **The Discovery:** Several bidders complain. The Procurement Committee agrees the specs are discriminatory and constitute a "material infirmity".
3. **The Action:** The committee recommends cancellation under **Rule 38**. The Competent Authority agrees.
4. **The Do-Over:** The department invokes **Rule 39**. It **re-issues the tender** with new, fair technical specifications that use generic requirements and "or equivalent" language.
5. **The Result:** Multiple companies from different countries now submit bids, creating competition and leading to a better price for the Procuring Agency.

In a Nutshell: Rule 39 provides a clear path to fix a failed tender process. It acknowledges that mistakes happen and gives the Procuring Agency a legal mechanism to cancel, correct, and restart, rather than being forced to proceed with a flawed or illegal procurement. The ability to change the documents is crucial for making the second attempt successful.

Rule 40: Announcement of Evaluation Reports. Showing Your Homework.

What Does the Rule Say?

1. **Must Announce & Upload:** After evaluating all bids, the Procuring Agency must prepare a detailed report and upload it to the BPPRA website.
2. **The Report's Content:** This isn't just a winner announcement. The report must explain:
 - **Why the winner won:** The justification for accepting the "lowest evaluated bid."
 - **Why others lost:** The reasons for not accepting every other bid.
 - **Why any were rejected:** The specific reasons for rejecting any bid that was found non-responsive.
3. **The Waiting Period:** This report must be published at least 3 working days before the contract is officially awarded to the winner.
4. **Available to All:** Any bidder (whether they participated or not) can request a copy of this full evaluation report, and the department must provide it.

What Does This Mean in Simple Terms?

Think of it as the Procuring Agency being forced to "**show its homework**" before turning it in for a final grade.

- **It's a "Cooling-Off" Period:** The 3-day gap between publishing the report and signing the contract is crucial. It allows losing bidders to see the reasons, understand they lost fairly, and decide if they have any legitimate grounds for a complaint before it's too late.

- **It Prevents Corruption:** It is very difficult to corrupt a process when you have to publicly document and justify every single decision you made. Officials know their reasoning will be scrutinized by everyone.
- **It Builds Trust:** Even losing bidders are more likely to trust the system and bid again in the future if they see that the process was objective and transparent.
- **It's Accountability:** This report is the official record. If anything is challenged later in court or by an auditor, this document is the primary evidence.

Example Scenario:

The Tender: Supply of 100 computers.

The Bidders: Company A (Rs. 9 million), Company B (Rs. 10 million), Company C (Rs. 8.5 million - but offered slower RAM).

The Evaluation Report would state:

- "Company C was rejected because its technical proposal did not meet the mandatory requirement of 16GB DDR4 RAM, as specified on page 12 of the bidding documents."
- "Company A's bid of Rs. 9 million was accepted as the Lowest Evaluated Bid. Although Company B's price was lower (Rs. 8.5 million), it was technically non-responsive. Company A's bid was the lowest among the bids that met all technical specifications."

Company B can read this report. They might be disappointed, but they can see the decision was based on the published rules, not on favoritism. This makes them less likely to file a false grievance.

In a Nutshell: Rule 40 is the transparency rule. It moves procurement from a secretive, closed-door decision to an open, accountable process. It forces the Procuring Agency to be fair and gives bidders the tools to verify that fairness.

Rule 41: Procedures of Open Competitive Bidding.

The Different Types of "Races"

This rule explains the different formats the Procuring Agency can use to run a fair and open competition. Think of it as choosing the right type of race for the right situation.

All methods require the same basic eligibility criteria from bidders (experience, financial turnover, tax registration, etc.) to ensure only serious players enter.

The Four Bidding Procedures:

1. Single Stage - One Envelope Procedure (The Simple Race)

How it works: Bidders submit everything—their technical details (qualifications, how they'll do the work) and their financial price—all in **one single envelope**.

The Process: The Procurement Committee of the Procuring Agency opens all envelopes publicly, reads out the prices, and then evaluates both the technical and financial aspects together.

When to use it: For **simple, standard, and low-value purchases** where the requirements are straightforward and the main deciding factor is price.

Simple Analogy: Buying a standard product online where you just sort by "Price: Low to High."

Example: Buying office furniture, stationery.

2. Single Stage - Two Envelope Procedure (The Two-Part Race)

How it works: Bidders submit **one package with two separate, sealed envelopes** inside:

Envelope 1: Technical Proposal (How they will do it, their qualifications, their plan).

Envelope 2: Financial Proposal (Their price).

The Process:

Only the **Technical Proposals** are opened first.

The Procurement Committee evaluates them purely on quality, without knowing the price. Bids that fail the technical requirements are rejected.

The **Financial Proposals** of only the technically qualified bidders are opened later on a pre-announced date.

The lowest priced bid among the technically qualified ones wins.

When to use it: For complex purchases where quality is as important as price. It ensures you don't just pick the cheapest option that might be poor quality.

Simple Analogy: Hiring a lawyer. You first check their qualifications and experience (Technical). Only then do you discuss their fees (Financial).

Example: Buying complex medical equipment, hiring a contractor for a building, or procuring specialized software.

3. Two Stage Bidding Procedure (The Collaborative Race)

How it works: This is used when the Procuring Agency knows what it needs but isn't sure of the best technical solution. It's a collaborative process with bidders.

Stage 1: Ideas without Price

Bidders submit **technical proposals only** (no prices).

The Procuring Agency meets with all bidders to discuss and clarify the technical options.

The Procuring Agency can even change its technical requirements based on these discussions.

Bidders then revise their technical proposals based on the final agreed-upon requirements.

Stage 2: Final Bids

Bidders who are still interested submit their revised technical proposals AND their financial proposals.

The financial bids of the technically compliant bidders are opened and the lowest wins.

When to use it: For extremely large, complex, and unique projects where the Department needs industry input to define the best solution (e.g., a major dam, a city-wide transport system).

Simple Analogy: Designing a custom house. You first meet with several architects to decide on the best design (Stage 1). Then you ask them to give you a fixed price to build that exact design (Stage 2).

Example: A large infrastructure project like a new airport or a tunnel, where the engineering approach needs to be finalized before a price can be set.

5- Two Stage - Two Envelope Bidding Procedure.

The "Two Stage - Two Envelope" Method

This is the most complex and collaborative bidding method. It is used when the Procuring Agency knows its end goal but is unsure of the best technical way to get there and needs input from experts (the bidders). It combines the ideas of the previous methods.

Best For: Extremely large, highly complex, and innovative projects where the technical solution isn't predefined. (e.g., designing and building a landmark bridge, a smart city system, a major port expansion).

The Process in Two Simple Stages

Stage 1: The Ideas Phase (Without Price)

What Happens:

1. **Bid Submission:** Companies submit a package with two sealed envelopes: one for their Technical Proposal (their ideas, methodology, design) and one for their Financial Proposal (their price).
2. **Open Ideas Only:** The Procuring Agency publicly opens only the Technical Proposal envelopes. The Financial envelopes are kept strictly sealed and locked away.
3. **Collaborative Discussion:** The Procuring Agency holds meetings with all bidders to discuss their technical proposals. They talk about what works, what doesn't, and what the best approach might be.
4. **Revise & Finalize Specification:** Based on these discussions, the Procuring Agency finalizes the technical specifications. Bidders are then allowed to revise their technical proposals to match these new, clearer specs.
5. **Freedom to Quit:** Any bidder who doesn't like the newly defined specs can withdraw from the process and get their bid security back. No penalties.

Goal of Stage 1: To get the best technical solution on the table and ensure all bidders are competing based on the exact same, well-defined requirements.

Stage 2: The Price Phase

What Happens:

1. **Resubmit:** The bidders who are still interested submit their revised technical proposal and a supplementary financial proposal.
 - Why supplementary? Their original financial bid was based on their old technical idea. Now they need to provide a price for their new and improved technical proposal.
2. **The Big Opening:** On a pre-announced date, the procurement Committee of the Procuring Agency publicly opens:
 - The revised technical proposals.
 - The original financial envelopes that were locked away in Stage 1.
 - The new supplementary financial proposals.
3. **Evaluate & Choose:** The Procurement Committee now evaluates each bid as a whole package (revised technical + original financial + supplementary financial). The bid that offers the best value (best technical score and best price) wins.

Goal of Stage 2: To get a firm price for the now clearly defined project and select the best overall bid.

Simple Analogy: Building a Custom Dream House

1. Stage 1 - The Architect Meeting:

- You ask several architects to submit their design ideas and their estimated fee in two separate sealed envelopes.
- You open only the design envelopes. You meet with all architects, discuss their ideas, and together you finalize the perfect house plan.
- An architect who doesn't want to build that specific design can drop out and get their deposit back.

Stage 2 - The Builder Selection:

- The architects who are left now give you a fixed price to build the finalized dream house design.
- You now open their original fee envelopes and their new price for building the house.
- You choose the architect who had a great design and offers the best value to build it.

Why Use This Method?

- **Innovation:** It allows the Procuring Agency to benefit from the expertise and innovative ideas of the private sector.
- **Clarity:** It ensures the final project is well-defined before a price is set, avoiding costly changes later.
- **Fairness:** Although collaborative, it remains competitive and transparent, especially by keeping the financial bids secret during the ideas phase to prevent bias.

In a Nutshell: This method is a structured way to collaborate with experts to design the best project first, and then compete to get the best price to build it.

Rule 42: Conditions for Use of Various Procedures.

Choosing the Right Tool for the Job

This rule is a practical guide that tells government officials which of the four bidding methods to use and when. Picking the right method is crucial for efficiency, fairness, and getting the best value.

Here is a decision-making table based on Rule 42:

If you are buying...	Then use this method:	Because...
Simple, standard, or routine items where the main factor is price. Examples: Stationery, standard furniture, bulk fuel, simple construction work.	Single Stage - One Envelope	The requirements are clear and simple. There is no need for a complex technical evaluation. You just want the lowest price from a qualified bidder.
Complex goods or works where quality and technical ability are as important as price.	Single Stage - Two Envelope	You must ensure the bidder is technically capable before you even look at their price. This

If you are buying...	Then use this method:	Because...
Examples: Medical equipment, complex machinery, IT systems, construction of a building.		prevents a cheap but incompetent bidder from winning.
Highly complex projects where you know the end goal but need help figuring out the best technical solution. You expect different approaches from bidders. Examples: A large dam, a new airport, a city-wide water treatment system.	Two Stage Bidding Procedure	You need to collaborate with experts to design the best project. This method allows for discussion and refinement of technical proposals before prices are submitted.
Complex equipment or systems where there are multiple different technical solutions that could equally meet your needs. Examples: A manufacturing plant, a power generation system, specialized laboratory equipment.	Two Stage - Two Envelope	You want to see different technical options(e.g., Solar power vs. Wind power) and then get a firm price for the best one. This method keeps the financial bids secret during the technical discussion phase to ensure fairness.

More examples

1. Single Stage - One Envelope

- **For:** Simple, standard items. Price is the main factor.
- **Example:** Buying 1000 identical school chairs.

Process:

1. You publish a list of the chair's exact specifications (height, material, color etc).
2. Suppliers submit **one envelope** containing their price and a confirmation they meet the specs.
3. You open all envelopes, check for compliance, and give the order to the lowest-priced qualified supplier.

2. Single Stage - Two Envelope

- **For:** Complex goods or works. Quality is as important as price.
- **Example:** Buying a fleet of 10 ambulances for Health department.

Process:

1. Suppliers submit a package with **two separate envelopes**:

- **Technical:** Ambulance specifications, engine type, medical equipment list, warranty details.
- **Financial:** The price.
- 2. You open only the Technical Envelopes and evaluate them. You reject any ambulance that doesn't meet all medical equipment and safety standards.
- 3. You then publicly open the Financial Envelopes of the qualified bidders.
- 4. You award the contract to the lowest-priced bidder among the technically qualified ones.

3. Two Stage Bidding

- **For:** Large, complex projects where you need help designing the solution.
- **Example: Building a new bridge.**
- **Process:**
 - **Stage 1 (Design):**
 1. Construction companies submit **technical proposals** (their design ideas, engineering plans, timeline) without any prices.
 2. You meet with all bidders to discuss and finalize the best bridge design.
 - **Stage 2 (Price):**
 1. You ask the bidders to submit a final financial proposal based on the now-finalized bridge design.
 2. You evaluate and award the contract to the bidder with the best price for the agreed design.

4. Two Stage - Two Envelope Bidding

- **For:** Choosing between different technological solutions for a complex need.
- **Example: Procuring a power generator for a hospital.**

Process:

- **Stage 1 (Tech Choice):**
 1. Suppliers submit **two envelopes**:
 - **Technical:** Their proposed generator type (e.g., Diesel, Solar-Hybrid, Natural Gas).
 - **Financial:** Their price for their specific type (This envelope is kept sealed).
 2. You evaluate the technical proposals and hold discussions to finalize the exact power output and reliability specs everyone must meet.
- **The Supplementary Proposal:**
 1. You now ask bidders to submit a Supplementary Financial Proposal. This is their new price for providing a generator that meets the finalized technical specs.
- **Stage 2 (Decision):**
 1. You publicly open:
 - The bidders' revised technical proposals.
 - The original financial envelopes (for audit).
 - The new Supplementary Financial Proposals.

2. You award the contract to the bidder whose technology and supplementary price offer the best value.

In a Nutshell:

Method	What You're Buying	Simple Example
One Envelope	Simple, standard goods	Paper, pens, standard chairs
Two Envelope	Complex goods where quality matters	Ambulances, Computers, Specialized Vehicles
Two Stage	A construction project needing design input	Building a bridge, dam, or hospital
Two Stage, Two Envelope	A choice between different technological systems	Power generators, IT servers, manufacturing equipment

In a Nutshell: This rule ensures that the complexity of the procurement method matches the complexity of what is being bought. Using a simple method for a complex purchase leads to bad outcomes. Using a complex method for a simple purchase wastes everyone's time.

F- ACCEPTANCE OF BIDS AND AWARD OF PROCUREMENT CONTRACTS

Rule 43: Acceptance of Bids.

Picking the Winner

This rule covers the final decision-making step: who gets the contract. It's about making the award fair and legal.

Point 1: The Main Rule - Award to the "Best Value"

What it says: The contract must be awarded to the bidder with the "**lowest evaluated bid.**"

What it means:

- This does not always mean the **lowest price**. It means the bid that scored the highest based on the evaluation criteria (which could include price, quality, experience, etc.).
- This must be done within the **bid validity period** (the time the bidder's offer is still good for).

Simple Example:

- **Bidder A:** Price = Rs. 100, Technical Score = 80% -> **Evaluated as best value.**
- **Bidder B:** Price = Rs. 90, Technical Score = 50% -> **Rejected for poor quality.**
- **Winner:** Bidder A wins because they offer the best combination of price and quality.

Point 2: The Exception - What if Only One Bid?

What it says: A procurement can still be valid even if only **one bid** is received.

Conditions for accepting a single bid:

1. The single bid must meet all the technical and qualification requirements in the bidding documents.
2. It must not break any other laws or policies.
3. The Procuring Agency should check that the price is **reasonable** by comparing it to current market prices.

Why this matters: This prevents the process from failing just because there was limited competition. It allows the Procuring Agency to proceed if the single bid is fair and compliant.

Simple Example:

A tender is issued for a very specialized medical device. Only one company submits a bid. The Procuring Agency can still award the contract if:

- The company is qualified.
- The device meets all specifications.
- The price is in line with what other hospitals are paying for it.

Point 3: The Penalty - If the Winner Backs Out

What it says: If the winning bidder is disqualified or refuses to sign the contract after winning (leading to their bid security being forfeited), the Procuring Agency can award the contract to the next best bidder (the second-place bidder).

Why this matters: This is a crucial backup plan. It protects the Procuring Agency from a winning bidder who tries to play games or withdraws, causing delays and wasted time. The project can still move forward.

Simple Example:

- **Bidder X** wins a contract to build a road but then refuses to sign the agreement. Their bid security (e.g., Rs. 2 million) is forfeited as a penalty.
- The Procuring Agency then offers the contract to **Bidder Y**, who had the second-best (next lowest evaluated) bid.

In a Nutshell:

Situation	Action
Normal Situation	Award the contract to the bidder who provides the best overall value (lowest evaluated bid).
Only One Bidder	You can still award the contract if the bid is good and the price is fair.

Situation	Action
Winner Refuses to Sign	Keep their deposit (forfeit bid security) and give the contract to the second-place bidder.

Rule 44: Performance Security.

The Procuring Agency's Safety Net

This rule is about protecting the Procuring Agency after the contract is signed. It ensures the winning bidder actually does the work they promised to do.

Part 1: What is Performance Security?

What it says: For any contract worth over **Rs. 25 million**, the winner must provide a **Performance Security** (also called a Performance Guarantee) before the work starts.

- **What it is:** It is a financial guarantee, like a security deposit.
- **How much:** Up to **10%** of the total contract value. (e.g., For a Rs. 100 million contract, the security would be up to Rs. 10 million).
- **Form:** It must be provided as a:
 - Bank Guarantee
 - Pay Order
 - Demand Draft
 - Insurance Bond from a highly-rated (AA) insurance company.

Why is this needed? It is the Procuring Agency's insurance policy against a contractor who:

- Does shoddy work.
- Abandons the project.
- Fails to deliver on time.
- Goes bankrupt.

If the contractor breaks the contract, the Procuring Agency can claim this money to cover the costs of hiring someone else to fix or finish the job.

Simple Example: A company wins a Rs. 100 million contract to build a school. They must provide a Rs. 10 million bank guarantee before they can start digging. If they abandon the half-built school, the Procuring Agency uses that Rs. 10 million to pay another company to complete it.

Part 2: When Do They Get Their Money Back?

What it says: The Performance Security must be returned to the contractor within **60 days** of successfully completing the contract.

Conditions for release:

- The work must be 100% finished.
- The Procuring Agency must have inspected and accepted the work.
- All obligations must be cleared (e.g., any minor defects fixed).

Why this matters: This is fair to the contractor. It means the Procuring Agency can't hold their money hostage indefinitely. Once the job is done well, they get their security deposit back quickly.

Performance Security vs. Bid Security

It's important not to confuse this with the Bid Security from Rule 29.

	Bid Security	Performance Security
When?	Submitted with the bid .	Submitted after winning, before signing contract .
Purpose	Guarantees the bidder is serious and won't withdraw their offer.	Guarantees the winner will fulfill the contract properly.
Amount	Usually 2% of bid value.	Up to 10% of contract value.
When Returned	After the contract is signed or when the bidder loses.	After the project is successfully completed .

In a Nutshell: The **Bid Security** gets you into the game. The **Performance Security** is your promise to play by the rules until the game is over.

Rule 45 : Force Majeure. The "Act of God" Clause

This is a standard but very important clause that must be included in all contracts made by Procuring Agencies.

What Does "Force Majeure" Mean?

In Simple Terms: It is a legal term for unforeseeable, extraordinary events that are beyond anyone's control, which prevent a contractor from fulfilling their contract.

If such an event happens, the contractor cannot be punished for failing to meet their deadlines or obligations.

What Counts as a Force Majeure Event?

These are typically events that no one could have predicted or prevented. Common examples include:

- **Natural disasters:** Earthquakes, floods, hurricanes, tsunamis.
- **War or armed conflict.**
- **Major epidemics or pandemics** (like COVID-19).
- **Extreme government actions** like a sudden, nationwide lockdown.

What does NOT count?

- Normal bad weather (e.g., rain that causes a few days' delay).
- Usual supply chain delays.
- Labour strikes at the contractor's own company.
- Financial problems or bankruptcy.

How Does It Work?

1. **Event Occurs:** Something like a major flood destroys the construction site.
2. **Contractor Notifies:** The contractor must immediately inform the Procuring Agency in writing about the event and how it affects the project.
3. **Not Liable:** The Procuring Agency cannot:
 - Charge liquidated damages for the delay.
 - Terminate the contract for default.
 - Forfeit the Performance Security.
4. **What Happens Next?** The contract is usually put on hold. Once the event is over, both parties discuss a fair solution, such as:
 - Extending the project timeline.
 - Re-negotiating costs if they have increased due to the event.
 - In extreme cases, terminating the contract without penalty to either side.

Simple Example:

The Contract: A company is building a road in Balochistan. The contract has a Force Majeure clause.

The Event: A massive, once-in-a-century flood washes away the entire construction site and access roads.

The Outcome:

The contractor writes to the Procuring Agency: "Due to the flood (a Force Majeure event), we cannot work on the site or access it. We cannot meet our deadline."

The Procuring Agency accepts this and does not fine the company for the delay.

Once the flood waters recede, they agree to add 6 months to the project deadline to allow for cleanup and rebuilding.

In a Nutshell: This clause shares the risk of catastrophic events. It protects contractors from being punished for things they cannot control, which encourages them to bid on projects without fearing unknown disasters. It is a fair and essential part of any large contract.

Rule 46: Limitation on Negotiations.

This is a very short but extremely important rule. Its purpose is to protect the integrity of the entire competitive bidding process.

What Does the Rule Say?

The Main Principle:

"There shall be no negotiations with the bidder... or with any other bidder."

In Simple Terms: Once the bids are opened and the winner (the lowest evaluated bidder) is identified, the Procuring Agency cannot negotiate over the price or the terms of their offer.

The winning bid is treated as a final offer. The Procuring Agency must either accept it exactly as submitted or reject it and move to the next bidder (if the winner fails to sign).

Why Is This Rule So Important?

It prevents corruption and ensures fairness:

1. **Prevents Favoritism:** It stops officials from unfairly helping a preferred bidder by letting them lower their price *after* seeing what their competitors bid.
2. **Prevents "Bait and Switch":** It stops a bidder from winning with a low price and then trying to negotiate a higher price afterwards.
3. **Protects the Process:** It ensures that all bidders compete on the same terms. The winner is the one who submitted the best bid on paper, not the best negotiator.

What is the Exception?

The rule says: "**Save as otherwise provided**" and mentions that any permissible negotiation must be based on regulations from the BPPRA Authority.

This means negotiations are only allowed in very specific circumstances defined by BPPRA, typically for complex contracts where some clarification is needed. Even then, it is highly regulated.

Simple Example:

The Tender: To supply 100 computers.

Company A bids Rs. 9 million.

Company B bids Rs. 10 million.

What Happens:

Company A wins as the lowest priced, qualified bidder.

The Procuring Agency must offer Company A the contract at **Rs. 9 million**.

The Procuring Agency is **NOT allowed** to call Company A and say, "We see you won. If you can lower your price to Rs. 8.5 million, the contract is yours."

In a Nutshell: This rule ensures that the competitive bidding process is final. The winner is decided based on what was in the sealed bid, not on what happens in a backroom after the fact. It is a cornerstone of transparent and fair procurement.

Rule 47: Confidentiality.

The Rule: All details of the bid evaluation must be kept **secret** until the official evaluation report is published (as required by Rule 40).

What it means in practice:

- **During Evaluation:** The procurement committee members cannot discuss who is winning, the scores, or any details with anyone—not other bidders, not the public, and not even other government officials not on the committee.
- **The "Black Box":** The evaluation process must be a "black box." Bids go in, a decision comes out, but the internal discussions remain hidden until the official result is announced.

Why is this important?

- **Prevents Manipulation:** It stops losing bidders from lobbying or protesting during the evaluation to change the result.
- **Protects Committee Members:** It shields them from pressure and influence from higher-ups or powerful bidders.
- **Ensures Fairness:** It guarantees that the decision is made based solely on the evaluation criteria, not on external factors.

In a nutshell: The evaluation process is confidential to keep it fair and free from interference. The only thing that becomes public is the final, justified result.

Rule 48: Award of Contract.

The Rule: The contract must be awarded to the bidder with the "**lowest evaluated cost.**"

What does "lowest evaluated cost" mean?

It is not automatically the bid with the cheapest price. It is the bid that offers the best overall value when all factors are considered.

Those factors include:

- Price
- Quality
- Technical capability
- Life-cycle costs (e.g., maintenance, operating costs)
- After-sales service

Simple Example:

Example 1: Buying Air Conditioners for an Office

- **Bidder A (Cheapest):** Price = **Rs. 80,000** per unit.
 - **But...** The energy efficiency rating is low. They will consume **Rs. 20,000** worth of electricity per year.
 - **Maintenance:** Comes with only a 1-year warranty.
- **Bidder B (Best Value):** Price = **Rs. 100,000** per unit.
 - **But...** The energy efficiency rating is high. They will consume only **Rs. 10,000** worth of electricity per year.
 - **Maintenance:** Comes with a 5-year warranty.

Evaluation:

- **Lowest Submitted Price:** Bidder A (Rs. 80,000)
- **Lowest Evaluated Cost:** Bidder B
 - **Why?** The **total cost of ownership** is lower. The government will save Rs. 10,000 per year on electricity and won't have to pay for repairs for 5 years. The higher initial price is a better long-term investment.

Winner: Bidder B.

The Deadline: This award must be made before the bidder's offer expires (within the bid validity period).

In a nutshell: The goal is to get the best deal, not just the cheapest price. The winner is the one who provides the best combination of cost and quality.

Rule 49: Publication of the Award of Contract. The Final Transparency Step.

This rule is about closing the loop and making the final outcome of the procurement public. It's the last step in ensuring full transparency.

What Does the Rule Say?

Within **45 days** of signing the contract with the winner, the government department must publish the following details online (on the BPPRA website and its own website):

1. **Contract Evaluation Report:** The detailed report explaining why the winner was chosen and why others were rejected (from Rule 40).
2. **Form of Contract and Letter of Award:** A copy of the actual signed contract and the official letter given to the winner.
3. **Bill of Quantities (BOQ) or Schedule of Requirement:** The detailed list of everything being procured, with quantities and prices.

Why is This Important?

- **Ultimate Accountability:** It allows everyone—other bidders, the public, journalists, and auditors—to see exactly what was agreed upon and why. This makes it very hard to hide corruption or favoritism.
- **Trust in the System:** Even losing bidders can see the final decision and the winning price, which helps them trust that the process was fair and prepares them to bid better next time.
- **Historical Record:** It creates a public record for future similar procurements, helping the Departments understand market prices and trends.

In a Nutshell: This rule ensures there are no secret deals. The entire process, from the first advertisement to the final signed contract, is conducted out in the open for anyone to examine.

Rule 50: Debriefing. The "Why Didn't I Win?" Meeting

This rule gives losing bidders the right to get feedback on why they were not selected, helping them improve for next time.

What Does the Rule Say?

1. **Right to Ask:** A bidder who did not win the contract can ask the government department for the reasons their bid was rejected.
2. **Department's Duty:** The department must provide those reasons. This can be done:
 - In writing (e.g., a letter or email), or by

- Holding a debriefing meeting.
- 3. **Cost:** The bidder who requests a meeting must pay for their own costs to attend it (e.g., travel, accommodation).

Why is This Important?

- **Transparency and Fairness:** It proves that the evaluation was based on the published rules, not on hidden motives or corruption. If the Procuring Agency cannot give a good reason, it may indicate a problem.
- **Improvement:** It helps bidders understand their weaknesses (e.g., "our price was too high," "our technical proposal was weak") so they can be more competitive in the future.
- **Reduces Conflicts:** By openly explaining the decision, the Procuring Agency can often prevent bidders from filing formal complaints or appeals because they see the process was fair.

In a Nutshell: This rule turns a loss into a learning opportunity. It ensures the Procuring Agency is accountable for its decisions and helps create a more competitive and professional pool of suppliers for the future.

Rule 51: Alternate Methods of Procurement

Rule 51-1-A. Request for Quotations (RFQ)

This section introduces the simplest and fastest alternative to a full open tender, used for small-value, standard purchases.

The Golden Rule

Open competitive bidding (the full tender process) is the standard. These alternative methods are only for exceptional cases.

What is Request for Quotation (RFQ)?

It is an informal process to get price quotes from at least three suppliers for buying readily available, standard goods or simple services.

Think of it like this: You need to buy a specific brand and model of printer. You quickly call or email three different computer shops to ask for their best price. This is an RFQ.

When Can You Use an RFQ?

Only under these two conditions:

1. **Low Value:** The purchase value is **above** the limit for "Petty Purchase" (very small buys) but **below Rs. 200,000/-**.
2. **Standard Item:** What you are buying is standardized. There are no special customizations or complex technical requirements.

Example: Buying 10 identical office chairs, a standard model of water dispenser, or a specific brand of printer paper.

The RFQ Process in a Nutshell:

1. Identify at least three potential suppliers.
2. Contact them and ask for a price quote for the exact same item.
3. Compare the prices you receive.
4. Award the purchase to the supplier with the lowest price that meets the standard specs.

Key Difference from Tender: There is no public advertisement, no formal bidding document, and no bid security. It is a quick, direct, and simplified process for small buys.

In a Nutshell: Use an RFQ for small, standard purchases to save time and money, while still ensuring you get a competitive price by comparing at least three offers.

Rule 51-1-B. Direct Contracting (Single Source)

Direct Contracting means buying goods or services from a single supplier without any competition. This is the opposite of open bidding and is only allowed in very specific, justified cases.

When Can You Use Direct Contracting?

I. . Natural Extension of an Ongoing Project

- **When:** When you need to add more work to a project that is already underway.
- **Why:** It is more efficient and economical to have the same contractor continue the work, ensuring consistency and quality.
- **Example:** A company is building the first 10km of a road. The government decides to extend the road by another 2km. It is logical and efficient to ask the same company to do the extra work, as they are already set up on site.

II. Procurement from a Government Organization.

- **When:** Buying from another government department, agency, or a fully government-owned company.
- **Why:** To support other public sector entities. However, that government organization cannot subcontract the work to a private company; they must do the work themselves.

Example: A university needs to print thousands of exam booklets. It can directly contract the Government Printing Press (a state-owned entity) to do the printing, rather than holding a tender for private printers

III. Technical Compatibility / Proprietary Items

- **When:** You need to buy spare parts, extensions, or software that only work with an existing system from a specific supplier.
- **Why:** Using a different brand would cause technical problems and be more expensive in the long run.
- **Example:** A power plant uses specialized turbines from Company X. When a critical spare part is needed, it must be bought directly from Company X, as no other company makes a compatible part.

IV. Genuine Emergency

- **When:** In a sudden crisis that threatens lives or property (e.g., flood, earthquake, pandemic).
- **Conditions:**
 - The emergency must be officially declared in writing by a senior official.
 - Purchases are limited to what is absolutely necessary for the emergency.
 - It can only be used for up to 3 months (can be extended if the emergency continues).
 - All actions must be immediately reported to the accounts office for audit.
- **Example:** After an earthquake, a district needs tents, medicine, and food immediately to save lives. There is no time for a tender, so they can buy these directly from local suppliers.

V. Variation Order (Small Change to a Current Contract)

- **When:** You need to add a small amount of extra work to a contract that is already running.
- **Conditions:**
 - The original contract is still active.
 - The added work must be economical.
 - The total value of all changes must not exceed 15% of the original contract's value.
- **Example:** A contractor is building a hospital. After work begins, the government decides to upgrade the electrical wiring to support more advanced medical equipment. This change order (if within the 15% limit) can be added directly to the existing contract, as the contractor is already on site and familiar with the project..

In a Nutshell: Direct contracting is a high-risk method that can easily be abused. Therefore, the rules are very strict. It is only permitted when competition is impossible, impractical, or not in the public interest, and every use must be thoroughly documented and justified.

Rule 51-1- C: Negotiated Tendering.

This is one of the least common and most exceptional methods. It allows the Procuring Agency to negotiate directly with one or a few suppliers without a competitive bidding process. It is a high-risk method and is only allowed under very strict conditions.

When Can You Use Negotiated Tendering?

I. For Specialized Research or Experiment

- **When:** The goods are custom-made for a unique research project, experiment, or study.
- **Why:** No other supplier would have these items, making competition impossible.
- **Example:** A university science lab needs a custom-built sensor that doesn't exist on the market. They must negotiate directly with a specialized engineering firm to design and manufacture it.

II. Exclusive Rights or Intellectual Property

- **When:** The item is protected by a patent, copyright, or is a unique work of art, and only one supplier can provide it.
- **Why:** There is literally no competition for that specific item.
- **Example:**
 - A museum wants to acquire a specific sculpture from a famous living artist. They must negotiate directly with that artist or their gallery.
 - A government office needs a license for specialized proprietary software that is only sold by one company.

III. Extreme Urgency (Unforeseen Emergency)

- **When:** A sudden, unexpected crisis occurs, and there is absolutely no time to run a full tender (which takes months).
- **Crucial Condition:** The emergency must NOT be the Procuring Agency's fault. It cannot be used to cover up poor planning.
- **Example:** A key water pipeline bursts, flooding a part of the city and cutting off water supply. The Procuring Agency needs a specific type of giant valve immediately to stop the flooding. There is no time for a tender, so they contact the one known manufacturer directly to negotiate a price and airlift the valve.

The golden Rule of Negotiated Tendering

Everything must be documented! The government department must write down a detailed justification explaining exactly why they had to use this method instead of open competition. This report becomes a permanent part of the procurement record for auditors to review.

In a Nutshell: Negotiated tendering is for situations where competition is impossible or impractical due to extreme uniqueness, exclusivity, or urgency. It is a last resort, not a convenience

Rule 51-1- D: Force Account

Force Account means the government department uses its own staff, workers, and equipment to carry out a construction job instead of hiring an outside contractor through a tender.

Think of it as **DIY (Do-It-Yourself)** for the Procuring Agency.

When Can the Department Use Its Own Force? (DIY)

This method is only allowed in very specific situations:

I. Work Quantity is Unknown

- **When:** You don't know exactly how much work needs to be done upfront.
- **Example:** Repairing damage from a landslide. You can't know the exact amount of rock and dirt to remove until you start the work. It's easier to use your own crew day-by-day than to hire a contractor for an unknown job.

II. Small, Scattered, or Remote Jobs

- **When:** The work is in many small locations or a very remote area.
- **Why:** No outside contractor will be interested because it's not profitable for them to move their equipment for such small jobs.
- **Example:** Repairing 50 small village water pumps scattered across a remote district. It's more efficient for the Public Health Engineering Department to send its own team from pump to pump.

III. To Avoid Disrupting Ongoing Work

- **When:** The work must be done without stopping an existing operation.
- **Example:** Repairing a faulty electrical panel in a busy hospital. The hospital's own maintenance staff can do it at night to avoid disrupting patients, whereas bringing in an outside contractor would be complicated and disruptive.

IV. Emergencies

- **When:** In a sudden crisis that requires immediate action.
- **Condition:** A senior official must officially declare an emergency in writing.
- **Example:** After a flood, a road is washed away. The Highway Department immediately sends its own crew and machinery to open a temporary passage for relief services, as there is no time to hire a contractor.

The Key Point:

Force Account is not for big projects. It is for small, unpredictable, urgent, or scattered jobs where using the Department's own team is faster, cheaper, and more efficient than going through a formal tender process.

In a Nutshell: It's the Department using its in-house team to "get the job done" quickly and efficiently when hiring an outsider doesn't make sense.

Rule 51-1- E: Petty Purchases

Petty Purchase is the simplest and fastest method of procurement, designed for very small-value, everyday items.

What is it? It is a purchase where the value is below Rs. 100,000.

How does it work? For these small buys, the normal rules are relaxed. There is no need to:

- Get quotes from three suppliers.
- Issue a formal tender.

What can it be used for? Small, routine office needs. Examples include:

- Replacing a broken water cooler.
- Purchasing a new printer cartridge.

- Buying tea, coffee, and sugar for the office.

The One Important Rule:

Even for petty purchases, the core principles of fairness, transparency, and value for money (Rule 4) still apply. You can't just buy from your friend's shop without a good reason. The officer must still make a responsible choice and get a reasonable price.

In a Nutshell: Petty purchases are for small, everyday office items under Rs. 100,000. They allow government offices to operate efficiently without being burdened by paperwork for minor buys, while still requiring officials to act responsibly.

Rule 51-1- F: Repeat Orders.

A Repeat Order is like saying, "We need more of the same thing, from the same person, for the same price."

It allows the Procuring Agency to buy more of an item or extend a works contract without going through a new tender, but only under very strict conditions.

When Can You Use a Repeat Order?

Only if ALL of these conditions are met:

I- Same Item/Same Work: You need more of the exact same goods or an extension of the same work that was originally tendered.

- **Example (Goods):** You bought 100 chairs for a school through a tender. Halfway through the year, 10 more students enroll. You can place a repeat order for 10 more of the exact same model of chair.
- **Example (Works):** A contractor is building a 10km road. The government later decides to add another 1km of the exact same type of road.

II- The 15% Rule: The value of the extra order must not exceed 15% of the original contract's value.

- **Example:** If the original chair contract was for Rs. 1,000,000, the repeat order cannot be more than Rs. 150,000 worth of chairs.

III- Same Price: The supplier must agree to provide the extra items or work at the exact same price and terms as the original contract. They cannot charge more.

VI- Time Limit:

- **For Goods:** The repeat order must be placed within the same financial year as the original contract.
- **For Works:** It must be done while the original project is still ongoing.

V- No Splitting: You cannot split a large need into a small original order and a repeat order to avoid a tender. This is illegal (mis-procurement).

- **Example (Illegal):** You need 150 chairs. You can't tender for 100 chairs and then immediately place a repeat order for 50 more to avoid tendering for the full 150.

In a Nutshell: A repeat order is a time-saving tool for genuine, unforeseen increases in quantity. It is not a way to avoid tendering. It ensures consistency and efficiency for small top-ups, while the strict 15% rule protects the principle of competition for any significant new purchase.

Rule 51-1- G: Petty Grants Repair Work

This is a special method for small, urgent repair and maintenance jobs.

What is the Petty Works Grant?

It is a simplified process for small construction and repair works valued below Rs. 500,000.

What it covers (Examples):

- Fixing a leaky roof.
- Repairing a broken boundary wall.
- General electrical repairs.
- Replacing doors and windows.
- Cleaning and clearing a building.

How does it work? (The Simplified Process)

1. **Direct Invitation:** The government department directly invites at least three capable and reputable contractors (e.g., from a pre-vetted list or known local firms).
2. **Get Quotes:** It asks them to submit written price quotes for the job.
3. **Follow Basic Rules:** The basic rules for bid submission (Rule 25) and public opening (Rule 33) still apply to ensure transparency.
4. **Award:** The job is given to the contractor with the best value quote.

Key Point: This is faster than a full public tender but still requires competition (3 quotes) and transparency (public opening).

Rule 51(2) - The Most Important Warning

This point is crucial. It states:

"Using these alternative methods does NOT excuse you from following all the other core rules."

In Simple Terms: Just because you are using a simpler method like **Direct Contracting** or **Petty Purchases**, it does not mean you can ignore the fundamental principles of procurement.

You MUST still:

- **Be Fair and Transparent (Rule 4):** No favoritism.
- **Evaluate Properly (Rules 34, 35):** Check bids against criteria.
- **Keep Records (Rule 9):** Maintain all documents.
- **Publish the Award (Rule 10):** Be transparent about who won.

In a Nutshell: These alternative methods are just different paths up the same mountain. The destination—a fair, transparent, and accountable procurement—remains the same. You cannot use a shortcut to avoid the core rules.

Rule 51-A - Framework Agreement

A **Framework Agreement** is like creating a "Preferred Supplier List" or signing a "Standing Order" with a supplier for a period of up to one year.

It simplifies repeat purchases of the same type of items, saving time and paperwork.

How Does It Work?

The Procuring Agency runs a one-time competitive process to select a supplier(s). Once selected, whenever they need the item during the agreement period, they can just call up that supplier and place an order without a new tender each time.

There are Two Types:

I. Framework Agreement WITH Rates (Fixed Price)

- **How:** The Procuring Agency runs a full tender to select a supplier and fixes the prices for all items for the entire contract duration (up to 1 year).
- **Best For:** Items with stable prices.
- **Example:** The Health Department signs a 1-year framework agreement with MediSupplies Co. for hand sanitizer at a fixed rate of Rs. 200 per bottle. Every month, they can just order the required number of bottles at that price without any new bidding.

II. Framework Agreement WITHOUT Rates (No Fixed Price)

- **How:** The Procuring Agency pre-qualifies a list of reputable suppliers through a pre-qualification process. The exact prices are not fixed upfront.
- **Best For:** Items where prices fluctuate (e.g., fuel, raw materials). When an order is needed, the Procuring Agency will ask all pre-qualified suppliers on the list for their best current quote.

Example:

Office Supplies for a Large Government Department

- **The Need:** A large ministry (e.g., the Ministry of Education) has hundreds of offices and goes through a massive amount of standard office supplies every month—paper, pens, folders, toner cartridges, etc.
 - **The Problem:** Processing a new tender every single month for these items would be incredibly inefficient and create massive administrative work.
 - **The Solution: A Framework Agreement WITHOUT Rates**
1. **Pre-Qualification (One Time):** At the start of the year, the ministry runs a pre-qualification process. They invite stationery suppliers to apply. They evaluate them based on:
 - Financial stability

- Ability to supply large quantities nationwide
 - Past performance
 - Quality of products
2. **Create the List:** They pre-qualify and sign framework agreements with, for example, three top-rated suppliers (let's call them *QuickSupplies*, *PaperPlus*, and *NationalStationers*).
 3. **How it Works During the Year:**
 - **When an order is needed:** The ministry needs to order 5,000 reams of A4 paper.
 - **Seek Quotes:** They send the list of required items to all three pre-qualified suppliers and ask for their **best current price**.
 - **Place the Order:** *QuickSupplies* quotes Rs. 500/ream, *PaperPlus* quotes Rs. 480/ream, and *NationalStationers* quotes Rs. 490/ream.
 - The ministry places the order with **PaperPlus**, who offered the best price on that day for that specific order.

Why this is efficient: The ministry gets competitive market prices for each order without the hassle of a full tender every time. The suppliers compete on price for every single purchase order, but only the pre-qualified, reputable ones get to compete.

It's like having a approved list of vendors. You get the benefits of competition and market prices with the efficiency of not having to find new suppliers for every single purchase.

The Golden Rule:

The decision to use a framework agreement must be justified and recorded in writing. This is to prevent its misuse for avoiding competition unfairly.

In a Nutshell: A framework agreement is a procurement "subscription service." It's efficient for frequently purchased items, ensuring consistency and saving time, while the initial selection process ensures the foundation is competitive and fair.

Rule 52 :On Account Payments

Paying Your Bills on Time

This is a very straightforward but critical rule. It is about the government's responsibility to pay its bills promptly.

What Does the Rule Say?

The concerned Departments must pay its suppliers, consultants, and contractors within the deadline specified in the contract.

- **"On Account Payments" or "Running Bills"** refer to interim payments made while the work is still in progress, not just the final payment at the end.
- **Example:** A contractor building a road may submit a bill every month for the work completed that month. The departments must pay these "running bills" on time.

Why is This Rule Important?

1. **Cash Flow for Businesses:** Especially for small businesses, timely payments are essential for their survival. They need to pay their staff and buy materials to keep working.
2. **Maintains Project Momentum:** If contractors aren't paid on time, they may slow down or stop work entirely, causing costly delays in government projects.
3. **Builds Trust and Attracts Bidders:** Reliable payment makes the government a trustworthy client. This encourages more companies, especially good ones, to bid for government work, leading to better competition and better value for money.
4. **Prevents Corruption:** Delayed payments can create opportunities for bribery, where officials demand bribes to "expedite" payments.

In a Nutshell: This rule ensures the departments of government are responsible and reliable customer. It's a simple principle: if you receive goods or services as per the contract, you must pay for them by the agreed-upon date. This keeps the entire procurement ecosystem healthy and functional.

Rule 53: Liquidated Damages.

The "Late Penalty" Clause

This rule is the government's protection against delays. It defines what happens when a contractor misses a deadline.

What are Liquidated Damages (LD)?

Liquidated Damages are a **pre-agreed financial penalty** for each day or week that a contractor is late in completing their work or delivering goods.

- It is **not a punishment**; it is a **pre-estimate of the loss** the Procuring Agency is likely to suffer due to the delay (e.g., lost revenue, administrative costs, etc.).
- The exact percentage (e.g., 0.5% or 1% per week) is clearly stated in the contract before it is signed.

How Does It Work? Two Options for the Procuring Agency:

When a contractor is late, the Procuring Agency has two choices:

Option 1: Grant an Extension of Time (EOT)

- **When:** If the delay is due to a valid reason that was not the contractor's fault (e.g., extreme weather, a change in government instructions, a "force majeure" event).
- **Process:** The contractor must submit a written request with a proper justification. If the Procuring Agency accepts the reason, it formally extends the project deadline.
-

Option 2: Deduct Liquidated Damages

- **When:** If the delay is due to the contractor's own fault (e.g., poor planning, lack of resources, slow work).
- **Process:** The Procuring Agency starts deducting money from the payments due to the contractor. The amount deducted is calculated as a percentage of the contract value for each week of delay.

Simple Example:

The Contract: Build a community hall for Rs. 10,000,000. The contract states LD of **0.5% per week** for delay.

What Happens: The contractor finishes the work **4 weeks late** without a valid excuse.

The Calculation:

- Weekly LD = 0.5% of Rs. 10,000,000 = Rs. 50,000
- Total Delay = 4 weeks
- **Total Liquidated Damages = 4 x Rs. 50,000 = Rs. 200,000**

The Result: The Procuring Agency will pay the contractor Rs. 200,000 **less** than the original contract price.

In a Nutshell: This rule ensures that time is money. It incentivizes contractors to finish on time and compensates the Procuring Agency for the losses and inconvenience caused by delays. It turns the abstract concept of a "delay" into a concrete financial consequence that was agreed upon by both parties upfront.

Rule 54: Entry into Force of the Procurement Contract.- The Contract is Official!

This rule covers what happens after the winner is selected. It's about making the contract official and managing it properly.

Part 1: When Does the Contract Start? (It's Official!)

- **The Moment:** The contract becomes legally binding on the exact date that both parties sign it.
 - The Procuring Agency signs.
 - The winning bidder signs.
- **The Deadline:** This must happen within the bid validity period (the time the bidder's offer is still valid, e.g., 90 days).
- **Conditional Start:** Sometimes, the contract only starts once a condition is met (e.g., "This contract is effective only once the contractor provides the Performance Security."). In this case, the start date is the day that condition is fulfilled.

Simple Meaning: A contract isn't real until it's signed. The signing date is its official "birthday."

Part 2: Who Manages the Contract? (The Government's Job)

- **Responsibility:** The government department that signed the contract is responsible for managing it from start to finish.
- **This includes:**
 - Making payments on time.
 - Supervising the work.
 - Solving problems that come up.
 - Ensuring all terms are met.
 - Dealing with any disputes or claims.

Simple Meaning: Signing the contract isn't the end of the job for the Procuring Agency. It's the start of their duty to manage it properly until it is fully completed and closed.

Part 3: How to Ensure Quality? (Verify and Check)

The Procuring Agency isn't just a passive payer. It must actively ensure it gets what it paid for. This involves:

1. **Inspection:** Checking that the quality and quantity of the delivered goods or works match what was promised in the contract.
2. **Hiring Experts:** If needed, hiring independent third-party experts (like quality inspectors, engineers, or testing labs) to verify complex technical requirements.
3. **Enforcing Guarantees:** Ensuring the contractor honors warranties, maintenance guarantees, and after-sales services.

Simple Example: A Procuring Agency buys 100 computers. Upon delivery, they must:

- Count them to ensure there are 100 (**quantity**).
- Turn them on and inspect them for defects (**quality**).
- Ensure the warranty cards are provided (**guarantee**).

In a Nutshell: This rule ensures the procurement process doesn't end with a signature. It mandates that the Procuring Agency actively manages the contract and verifies the results to ensure it truly gets the value for money it competed for.

Rule 55: Closing of Contract.

How to Properly End a Contract

This rule is the final step in the procurement process. It explains how to formally and fairly close a contract once the work is done.

When is a Contract Closed?

A contract is officially closed in three main steps:

1. Main Work is Completed

- **What happens:** The contractor finishes the main job (delivers the goods, completes the construction).
- **Procuring Agency 's duty:** The Procuring Agency must inspect everything and, if satisfied, issue a **Completion Certificate** (or Taking Over Certificate) **within 30 days**.
- **Why it matters:** This certificate allows the contractor to submit their final bill for payment. It signals that the main obligation is fulfilled.

2. Defect Liability Period (The Warranty Period)

- **What it is:** A fixed period (e.g., 1 year) after completion where the contractor must fix any defects or problems that appear.

- **Closing this phase:** Once this warranty period ends without any major issues, the Procuring Agency must issue a Defect Liability Certificate within 30 days.
- **Why it matters:** This certificate releases the contractor from their warranty obligations and allows them to get their final payment and the return of their Performance Security.

3. Final Payment and Audit

- **Final Bill:** After receiving the relevant certificate, the contractor submits the final bill for payment.
- **Audit:** The government's auditors can now perform a final audit of the entire project based on the closed contract and all its documentation.

What About Disputes?

The rule acknowledges that sometimes there are unresolved disputes about payments or other claims. These do not hold up the entire closing process. They are sent to be resolved separately, usually through arbitration (as specified in the contract conditions).

Simple Example: Building a School

1. **Completion:** The construction company finishes the school building.
2. **Certificate Issued:** The Education Department inspects it and issues a Completion Certificate.
3. **Warranty Period:** For the next 12 months (defect liability period), the contractor fixes any issues, like a leaking roof or faulty electrical sockets.
4. **Final Closure:** After 12 months, the department issues a Defect Liability Certificate.
5. **Final Payment:** The contractor submits the final bill and receives the last payment. The contract is now officially closed.

In a Nutshell: This rule ensures there is a clear, fair, and timely process to formally end a contract. It protects both parties: the contractor gets their final payment, and the government gets a completed project with all warranties confirmed before officially closing the books.

G-REDRESSAL OF GRIEVANCES AND SETTLEMENT OF DISPUTES

Rule 56 : Mechanism for Redressal of Grievances.

This rule creates a fair system for bidders to complain if they believe the procurement process was unfair **before the contract is signed**. It's the procurement world's "internal appeals process."

How Does It Work?

1. Forming the Complaint Committee

- The government department must form a special Grievance Redressal Committee.
Key features:
 - It must have an **odd number** of members (e.g., 3, 5) to avoid tied votes.

- The chairperson must be **senior** to the head of the original Procurement Committee.
- **At least one-third** of the members must be from **outside** the department. This brings independence and fairness.
- **Crucially, no one** who was on the original Procurement Committee can be on this one. This prevents bias and conflict of interest.

2. Who Can Complain and When?

- **Who:** Any bidder who feels wronged by a decision or action of the department.
- **When:** Any time after the tender is advertised but before the contract is signed.

3. What Can the Committee Do?

This committee has significant power to fix problems. After reviewing a complaint, it can:

- **Reject it** if it's frivolous.
- **Stop** the Procurement Committee from breaking the rules.
- **Cancel** a decision made by the Procurement Committee.
- **Recommend** that the whole procurement be declared illegal (**mis-procurement**).
- **Reverse** a decision and replace it with a fair one.
- **BUT:** It **cannot award the contract** itself. Its job is to correct the process, not pick the winner.

4. The Timeline

- The committee must decide on a complaint **within 15 days**.
- After making the decision, the government department must formally inform the bidder who complained and BPPRA (the Authority) within the next **3 working days**.
- The procurement process can continue during this time; it is not automatically suspended just because someone complained.

5. The Right to Appeal

- If a bidder is still unhappy with the committee's decision, they can appeal to a higher body, the Procurement Review Committee (a more independent committee at the BPPRA level).

Why is This Rule Important?

- **Fairness:** It gives bidders a way to challenge unfairness without immediately going to court.
- **Accountability:** It keeps the Procurement Committee in check, knowing their decisions can be reviewed.
- **Efficiency:** It resolves disputes quickly (within 15 days) so projects aren't delayed for long.
- **Trust:** It builds confidence in the system, encouraging more companies to bid.

In a Nutshell: This rule acts as the "**referee**" of the procurement process. It ensures that there is a quick and impartial way to address disputes and correct errors before a contract is signed, maintaining the integrity of the entire system.

Rule 56-A: Procurement Review Committee.

The Appeal Court

This rule establishes an Authority a bidder can appeal to if they are still unhappy after the initial grievance process. It is the higher forum for resolving disputes before a contract is signed.

A bidder can appeal to this committee in two cases:

1. The Committee is Too Slow (18-Day Rule)

- **Situation:** The Grievance Redressal Committee does not announce any decision within **15 calendar days** of receiving the complaint.
- **Your Deadline to Appeal:** You have **5 calendar days** after that 18-day period ends to file your appeal.
- **Example:** You file a complaint on Day 1. By Day 19, you have heard nothing. You now have until **Day 23** to appeal to the Review Committee.

2. You Disagree with the Decision

- **Situation:** The Grievance Redressal Committee gives a decision, but you believe it is wrong or unfair.
- **Your Deadline to Appeal:** You have **5 calendar days** from the date you received that decision to file your appeal.
- **Example:** You receive the committee's decision on Day 10. You disagree with it. You must file your appeal by **Day 15**.

Important Condition: The bidder must not have withdrawn their **Bid Security**. This proves they are still seriously interested in the contract.

2. Who is on this Procurement Review Committee?

The committee is designed to be **independent and expert**:

- **Managing Director of BPPRA** (The boss)
- **BPPRA's own Procurement Experts**
- **One Private Member** (An independent expert from outside the government department to ensure fairness)
- **One Technical Expert** (e.g., an engineer for a construction dispute)

3. How does the Appeal Process Work?

- **Step 1:** The bidder must apply within **5 days**, provide all documents, and pay a fee.
- **Step 2:** The committee must review the case and make a final decision within two weeks.
- **Step 3:** The committee can:
 - **Throw out** a pointless appeal.
 - **Agree** with the original Grievance Committee.
 - **Overturn** the original decision.

- **Declare the whole procurement illegal** ("mis-procurement"), which is a very serious finding.

4. The Power to HIT THE PAUSE BUTTON (Key Power)

This is the committee's most important power:

- If the committee believes that the original department might sign the contract or take other action that would make the appeal pointless, it can order the entire procurement process to be suspended (paused) until it makes its final decision.
- **Example:** The department is about to award the contract to Company A. Company B appeals, arguing the process was unfair. The Review Committee can issue an order: "Stop everything. Do not sign any contract until we have decided if this was fair or not."

Why is this Rule So Important?

- **Final Check:** It provides a last chance for fairness and justice.
- **Prevents Irreversible Mistakes:** It can stop a department from rushing into a bad or corrupt contract.
- **Expert Judgment:** Decisions are made by the highest procurement experts in the province.
- **Speed:** The two-week deadline ensures disputes are resolved quickly, avoiding long project delays.

In a Nutshell: This rule is the ultimate guardian of a fair process. It ensures that no government department is above the law and that every bidder has the right to a final, independent, and expert review of their complaint.

Rule 57: Declaration of Mis-Procurement and Consequences.

This rule deals with the most serious finding in public procurement: a declaration of **Mis-procurement**. This means the entire procurement process was illegal from the start because of a major violation of the rules.

What is Mis-Procurement?

Mis-procurement is not just a simple mistake. It is a material violation—a serious and fundamental breaking of the procurement rules, law, or regulations that makes the entire process invalid.

Examples of what could lead to Mis-Procurement:

- Splitting a large purchase into small ones to avoid a tender.
- Choosing a winner who did not have the lowest evaluated bid.
- Writing specifications to favor a specific company.
- Not advertising the tender publicly when required.
- Any form of corruption or fraud in the process.

Who Can Declare a Mis-Procurement?

Two authorities have this power:

1. **The Head of the Department (e.g., the Secretary):** They can do this on their own or based on a recommendation from the department's own Grievance Redressal Committee.
2. **BPPRA (The Authority):** BPPRA itself can investigate and declare a procurement illegal, even if the department doesn't.

What Happens After a Declaration? (The Consequences)

This is where the rule gets serious. A declaration of mis-procurement triggers immediate consequences:

1. **The Procurement is Cancelled:** The entire tender process is declared null and void. Any contract signed is cancelled.
2. **Disciplinary Action:** The case is sent to the Competent Authority (the senior official with power to take action) to start disciplinary proceedings against the government officials responsible.
3. **Criminal Investigation:** The case can also be sent to the Balochistan Anti-Corruption Establishment to investigate and prosecute if there is evidence of corruption or criminal activity.

Potential Consequences for Officials:

- Suspension from job
- Demotion
- Firing from government service
- Criminal charges and potential jail time

In a Nutshell:

This rule is the ultimate enforcement mechanism. It ensures that government officials who break the procurement rules face serious professional and legal consequences. It acts as a powerful deterrent against corruption and fraud, protecting public money and ensuring that the principles of fairness and transparency are not just words on paper.

Rule 58: Matters not Subject to Appeal or Review

This rule clearly states that there are two specific decisions made by a government department that a bidder cannot challenge or appeal.

1. The Choice of Procurement Method:

- **What it means:** You cannot appeal the department's decision on how they chose to buy something (e.g., whether they used National Competitive Bidding, International Competitive Bidding, Request for Quotations, etc.).
- **Why?** This is a strategic decision made at the very beginning, based on the nature and value of the purchase. It is considered a matter of policy and planning, not a decision that unfairly targets a specific bidder.

- **Example:** The Procuring Agency decides to use a **Two-Stage** bidding procedure for a complex dam project. A bidder cannot file a complaint arguing, "You should have used a Single-Stage method instead."

2. The Decision to Cancel the Bidding Process:

- **What it means:** You cannot appeal the department's decision to cancel the entire tender (under Rule 38), as long as it is done before a contract is signed.
- **Why?** The Procuring Agency has the right to cancel a tender for valid reasons, such as:
 - The project is no longer needed.
 - The budget is cut.
 - All bids received were too expensive or non-responsive.
- **Example:** A department receives only one bid for a project, and the price is way over the budget. They decide to cancel the tender. The lone bidder cannot force the Procuring Agency to accept their high price by appealing the cancellation.

Why Do These Exceptions Exist?

These exceptions balance the rights of bidders with the needs of the Procuring Agency. They allow government departments to:

- **Plan effectively** without their strategy being constantly challenged.
- **Manage their budgets and needs** flexibly, cancelling projects that are no longer feasible without being tied up in endless appeals.

In a Nutshell: You can appeal decisions made during the process (like how your bid was evaluated), but you generally cannot appeal the government's decision to start the process in a certain way or to stop the process entirely. These are considered core policy and management decisions

PART- III

PROCURING CONSULTING SERVICES

Rule 59: Applicability.

The Rules for Hiring Brains

This rule introduces a special section of the rulebook that is dedicated entirely to hiring consultants.

What are Consulting Services?

This means hiring a company or an expert for their knowledge, advice, and intellectual skills, not to supply goods or do construction.

Examples:

- Hiring an engineering firm to **design** a bridge.
- Hiring a law firm to provide **legal advice**.
- Hiring an IT company to **develop a software strategy**.

- Hiring a research organization to **conduct a study**.

The Two Key Points of Rule 59:

1. Separate Rules for Consultants

The standard rules for buying goods or works (Parts I & II) generally apply, but Part III has special, additional rules just for selecting consultants. This is because choosing a consultant is about evaluating quality and expertise, not just comparing prices.

2. Consultants Rule First

If there is ever a conflict between the general rules (e.g., for goods) and the consultant-specific rules in Part III, the consultant rules win.

Why? Because the nature of hiring intellectual services is fundamentally different from buying pencils or building roads. The rules need to be tailored to prioritize quality and the right expertise.

In a Nutshell: Think of the rulebook like this:

- **Parts I & II:** The **general rulebook** for buying things and building stuff.
- **Part III:** The **specialized addendum** for hiring brains and expertise. When hiring a consultant, you must use this specialized addendum first.

Rule 60: Selection of Consultancy Services.

The Principles for Hiring Experts

- This rule sets out the core principles that must guide every decision when the Departments hire a consultant. Think of them as the "commandments" for procuring brains.

The 6 Golden Principles for Hiring a Consultant:

Principle	What It Means	Simple Question to Ask
1. Need for Expertise	Hire externally only if the skills needed do not exist inside the government Department.	"Do we have this specific expertise in-house?"
2. Quality First	The best quality of advice and work is the top priority.	"Who can deliver the best technical solution and results?"
3. Value for Money	Get the best balance of high quality and reasonable cost. It's not about picking the cheapest advice.	"Which firm offers the best expertise for a fair price?"
4. Fair Competition	Give every qualified consultant a fair and equal chance to compete for the work.	"Have we allowed all capable firms to participate?"

Principle	What It Means	Simple Question to Ask
5. Encourage Local Talent	Support and encourage local Pakistani consultants, but without giving them an unfair advantage.	"How can we help local firms compete while being fair to all?"
6. Transparency	Run the entire selection process openly and fairly. Decisions must be clear and justifiable.	"Can we explain and justify our choice to everyone?"

Why These Principles Matter:

- Hiring a consultant is different from buying a truck. You are buying intellectual capital—ideas, strategies, and designs. A bad consultant's advice can lead to failed projects and wasted millions.
- Therefore, the process must prioritize quality and expertise above all else, while still ensuring fairness and good value for public money.

In a Nutshell: This rule ensures that the Procuring Agency hires the smartest and most capable experts for the job, not just the cheapest or best-connected ones, through a process that is fair and transparent.

Rule 61: Bar on hiring in cases of Conflict of Interest. The "No Conflicted Advice"

This is a very short but extremely important rule. It reinforces a fundamental principle, especially critical when hiring consultants.

What Does It Say?

It simply states that a consultant must not be hired if a Conflict of Interest exists.

- The phrase "Without limitations on the generality of the foregoing" is legal language that means "everything we've already said about conflict of interest applies fully here, and here are some extra specifics for consultants."

What Does Conflict of Interest Mean for a Consultant?

It refers to any situation where the consultant's judgment could be biased, or could be perceived as biased, because of their other interests, relationships, or roles.

Examples of Conflict of Interest for a Consultant:

1. **Designing and Then Implementing:** A consulting firm is hired to design the specifications for a new airport. They cannot then be hired to build that airport. This prevents them from designing the project in a way that only their construction company can win.

2. **Advising Both Sides:** A consultant is advising the government department on a project. The same consultant (or a related firm) is also working for a private company that might bid on that project. This gives them insider information.
3. **Conflicting Roles:** An individual consultant works for the government but also owns a private consulting firm on the side that could bid on government work.
4. **Financial Interest:** A consultant has a financial stake in a company that is bidding for a project they are evaluating.

Why is This Rule So Critical for Consultants?

Because consultants are hired for their independent, objective, and professional advice. If their advice is biased, it can lead the concerned department to make terrible decisions, wasting enormous amounts of public money on flawed projects, designs, or policies.

In a Nutshell: This rule ensures that the advice the government Department receives is pure, unbiased, and in the public's best interest. It protects the integrity of the entire decision-making process by keeping conflicted advisors far away from it.

Rule 62: Equal Access to Information.

The "Level Playing Field" Rule for Consultants

This rule ensures that the process of hiring a consultant is completely fair from the very beginning. It's about making sure everyone has the same information to work with.

What Does the Rule Say?

The government department must give exactly the same information to every consulting firm that is interested in a project.

This means:

- The same project details.
- The same answers to questions.
- The same clarifications.
- At the exact same time.

Why is This So Important?

Hiring a consultant is like running a race. For the race to be fair, everyone must start at the same starting line.

If one consultant gets special information or gets answers to their questions before others, they have an unfair advantage. They can write a better proposal, while others are left guessing. This undermines the whole principle of competition.

Example:

- The Health Department needs a consultant to design a hospital.
- Consultant A asks a clever question about the soil conditions at the building site.

- The department must share that question and its answer with all the other consultants who are competing.
- This way, every consultant can design the hospital's foundation correctly. No one is penalized for not asking that specific question.

What Does This Prevent?

- **Prevents Favoritism:** It stops officials from giving helpful "tips" or "hints" to a preferred consulting firm.
- **Prevents Insider Information:** It ensures no single firm has an information advantage that others don't.
- **Ensures Quality Proposals:** When all firms have the same complete information, they can all submit their best possible proposals. This means the department gets better quality ideas to choose from.

In a Nutshell: This rule guarantees that the selection of a consultant is based on who has the best expertise and ideas, not on who has the best connections or access to information. It is a fundamental requirement for a fair and transparent process.

Rule 63: Rights and Obligations of the Procuring Agency and Consultants.

This rule states a fundamental principle of contract law, specifically applied to consulting services.

In Simple Terms:

The specific rights (what you are entitled to) and obligations (what you must do) of both the Procuring Agency and the Consultant are not found in the general BPPRA rules.

Instead, they are fully detailed in the signed contract between the two parties.

What Does This Mean in Practice?

1. **The Contract is King:** The signed contract is the most important document. It overrides any general understanding or assumption. Both parties must read it carefully before signing.
2. **Two Parts of a Contract:**
 - **General Conditions:** These are the standard, boilerplate rules that apply to most contracts (e.g., how to handle payments, confidentiality, termination, dispute resolution).
 - **Special Conditions:** These are custom-made for this specific project. They define the exact scope of work, deliverables, deadlines, and specific duties of the consultant.
3. **Clarity and Accountability:** This ensures there is no confusion. The consultant knows exactly what they must deliver and by when. The Procuring Agency knows what it must pay for and what standards to expect.

Example:

The BPPRA rules say "hire consultants fairly." But the contract will say:

- **Consultant's Obligation:** "Submit a final dam design report by October 31, 2026, with three hydraulic models."
- Procuring Agency 's **Obligation:** "Pay the consultant 20% upon signing, 40% upon draft report, and 40% upon final acceptance of the report."

In a Nutshell: This rule makes the **signed contract the single source of truth**. It protects both parties by ensuring all expectations are clearly written down and agreed upon before any work begins.

Rule 64: Steps in the Selection Process.

This rule provides a roadmap for the entire process of selecting and hiring a consulting firm, from defining the need to signing the contract.

The Step-by-Step Process

Step 1: Define the Task (Terms of Reference - TOR)

- **What:** Write a detailed document describing exactly what you need the consultant to do.
- **Example:** "We need a consultant to study traffic patterns in Quetta and design a plan to reduce congestion at three major intersections."

Step 2: Set the Budget

- **What:** Estimate how much money should be allocated for this assignment.

Step 3: Advertise Publicly

- **What:** Publish the opportunity widely (newspapers, website) so all potential consultants know about it.

Step 4: Create a Shortlist (If Needed)

- **What:** For complex assignments, you may first narrow down the list of interested firms to only the most qualified ones.

Step 5: Send the Detailed Request (Request for Proposal - RFP)

- **What:** Send the shortlisted firms a detailed packet (the RFP) containing the TOR, instructions on how to submit their proposal, and the evaluation criteria.

Step 6: Consultants Submit Proposals

- **What:** Consulting firms prepare and submit their technical and financial proposals on how they will do the work and for what price.

Step 7: Evaluate the "How" (Technical Evaluation)

- **What:** A committee evaluates all the technical proposals first, without looking at the prices. They check which firm has the best methodology, team, and experience.

Step 8: Evaluate the "Price" (Financial Evaluation)

- **What:** Only for the firms that passed the technical evaluation, their financial proposals (their prices) are opened and evaluated.

Step 9: Negotiate (If Allowed)

- **What:** For certain methods, the government department's may negotiate with the top-ranked firm on specifics like work plan or staffing (but usually not on the core price).

Step 10: Sign the Contract

- **What:** Award the contract to the best firm and sign the agreement.

In a Nutshell: This process is designed to be methodical and fair. It ensures the Procuring Agency hires the most qualified consultant for the job, not just the cheapest one, through a transparent competition based on the quality of ideas and expertise.

Rule 65: Consultant Selection Committee.

The Expert Hiring Panel

This rule mandates the formation of a special, high-level committee whose only job is to fairly select the best consultant for a project. It ensures that the decision is not made by one person but by a diverse group of experts.

Who is on the Consultant Selection Committee?

The committee is carefully designed to include different areas of expertise and ensure independence.

Role	Who They Are	Why They Are Important
1. The Chairperson	A senior officer (BS-19 or higher) from the department. For a specific project, the Project Director can head it.	Provides senior-level oversight and authority.
2. Finance Department Representative	A nominee from the Finance Department (BPS-18 or higher).	Ensures the selection is fiscally responsible and within budget.

Role	Who They Are	Why They Are Important
3. Planning & Development Representative	A nominee from the Planning & Development Department (BPS-18 or higher).	Ensures the project aligns with broader government goals and plans.
4. Procuring Agency Representative	A senior officer from the department running the procurement. Acts as the secretary.	Provides the day-to-day knowledge of the project needs.
5. Technical Expert	An expert from a relevant technical department (e.g., an engineer from the Communication & Works dept for a road project).	Provides critical technical judgment on the consultants' proposals.
6. Co-opted Experts (Optional)	Up to two external specialists with specific knowledge. They cannot vote.	Brings in specialized expertise that the core committee may lack.

Key Principles of the Committee:

- **High Ranking:** Most members must be at least BPS-18, ensuring experienced officials are making the decision.
- **Cross-Departmental:** Members come from different departments (Finance, P&D) to prevent bias and groupthink from the procuring agency.
- **Technical Focus:** The inclusion of technical experts ensures consultants are judged on the quality of their work, not just their price.
- **Approval Needed:** The committee must be formally approved by the Head of the Department before it can start work.
- **No Conflict of Interest:** Especially for the co-opted experts, they must have no personal or financial interest in the outcome.

In a Nutshell: This rule ensures that selecting a consultant is taken as seriously as it should be. By requiring a committee of senior, cross-functional experts, it makes the process more fair, more technically sound, and more resistant to corruption or bias than if a single department made the choice alone.

Rule 66: Quorum. The Minimum Attendance Rule

This rule defines the **quorum** for the Consultant Selection Committee.

What is a Quorum?

A **quorum** is the **minimum number of members that must be present** at a meeting for its decisions to be official and legal. Without a quorum, the meeting cannot be held, or any decisions it makes can be challenged.

What is the Quorum for this Committee?

The rule states that the meeting must be attended by the following three key people:

1. The Chairman of the committee.
2. The representative from the Finance Department.
3. The representative from the Planning & Development Department.

Why These Three?

These three members bring essential, non-negotiable perspectives:

- The Chairman provides authority and leadership.
- The Finance Representative ensures financial viability and compliance.
- The Planning & Development Representative ensures the project aligns with government strategy.

Their combined presence guarantees that decisions are balanced, authoritative, and made in the public interest.

What happens if there is no quorum?

If one of these three members is absent, the meeting cannot proceed to evaluate proposals or make any decisions. It must be postponed until all three can be present.

In a Nutshell: This rule prevents a small, unrepresentative group from making a huge decision. It ensures that the selection of a consultant is always done with the necessary oversight from key government departments, maintaining the integrity and fairness of the process.

Rule 67: Decision by Simple Majority.

How to Make a Decision

This is a very straightforward but crucial rule for how the Consultant Selection Committee makes its choices.

What is "Simple Majority"?

It means that a decision is passed if more than half of the members present vote in favor of it.

- It does not require unanimity (everyone agreeing).
- It does not require a supermajority (e.g., 2/3 vote).

How Does it Work in Practice?

Let's say the full committee has 5 members present (which meets the quorum from Rule 66).

- For a decision to be approved, at least 3 members must vote "Yes".
- If the vote is 3-2, the decision passes.
- If the vote is 2-3, the decision fails.

Why is this method used?

1. **Efficiency:** It prevents the committee from getting deadlocked if one or two members disagree. The majority opinion wins, allowing the process to move forward.
2. **Fairness:** It ensures that a decision represents the view of most of the experts in the room, rather than being blocked by a small minority.
3. **Practicality:** It is a clear, simple, and universally understood way to make group decisions.

In a Nutshell: This rule ensures that the committee's decisions are made efficiently and democratically. The will of the majority of the expert panel prevails, keeping the procurement process moving while still relying on collective judgment.-

Rule 68: Functions and Responsibilities of the Committee- The Committee's Job Description

This rule lists the core tasks of the Consultant Selection Committee. Think of it as their official "To-Do List" to ensure they hire the right expert.

The 4 Key Jobs of the Committee:

1. Approve the Exam Paper (Request for Proposal - RFP)

- **What:** The committee must review and approve the final RFP document before it is sent to consultants.
- **Why:** This ensures the questions, evaluation criteria, and terms are fair, clear, and will attract the best proposals. It's the committee's first quality control check.

2. Create the Shortlist

- **What:** If the process requires a shortlist (e.g., for very complex projects), the committee is responsible for reviewing all expressions of interest and selecting the most qualified firms to invite for the full proposal.
- **Why:** This saves time and resources by ensuring only the most capable consultants proceed to the detailed proposal stage.

3. Evaluate the Proposals

- **What:** This is the committee's main task. They must:
 - **Evaluate Technical Proposals:** Judge the quality, methodology, and expertise of each consultant.
 - **Evaluate Financial Proposals:** Review the costs submitted by the technically qualified consultants.
- **How:** They must do this strictly according to the evaluation criteria published in the RFP. They cannot change the rules after the proposals are in.

4. Recommend the Winner

- **What:** After evaluation, the committee does not directly award the contract. Instead, it makes a formal recommendation to the Competent Authority (the senior official with the power to sign contracts).
- **Why:** This separates the evaluation function from the award function. The committee provides expert advice, but the final decision and accountability rest with the senior official.

In a Nutshell: This rule gives the committee end-to-end responsibility. They are in charge of the entire selection process—from approving the initial documents to evaluating the bids and

recommending the best consultant. This ensures consistency, expertise, and accountability from start to finish.

Rule 69 (1): Methods for Selection of Consultants –

Choosing How to Hire a Consultant

This rule introduces the different methods for hiring consultants. The key principle is that the Procuring Agency must choose the method before starting the process and announcing it to everyone.

Rule 69 (2): The "Least Cost Selection" Method

What is it?

This is a method where the main goal is to select the lowest-priced bid from among the consultants who meet a minimum technical standard.

Think of it like this: You need a simple, standard job done. You first check that the worker is qualified to do it, and then you pick the one who charges the least.

When should you use it?

Only for assignments that are:

- Standard
- Routine
- Have well-established methods

Examples:

- Conducting a standard soil test for a small building.
- Preparing routine financial audits.
- Updating a standard software system where the requirements are very clear.

Important Condition: It can also be used for adding a small amount of similar work (up to 15% more) to an existing consultant's contract.

How does it work?

The process happens in two clear stages:

1. **Stage 1: Check Quality (Technical Evaluation)**
 - All technical proposals are evaluated.
 - Only the consultants who meet the minimum technical requirements and score above a certain threshold are deemed "technically qualified."
 - Those who fail are rejected.
2. **Stage 2: Check Price (Financial Evaluation)**
 - Only the financial proposals of the technically qualified firms are opened.
 - The contract is awarded to the firm with the lowest price among these qualified firms.

The Exception

The rule allows a department to use a different method if it can record a written justification and get approval from the competent authority. This provides flexibility for unique situations.

In a Nutshell: The Least Cost Method is for simple, well-defined jobs where the risk of poor quality is low. It ensures the Procuring Agency gets a good price, but only from consultants who are first proven to be technically capable. It prioritizes cost-efficiency for routine tasks.

Rule 69(3): Quality Based Selection (QBS) Method. This is the complete opposite of the Least Cost method. Here, quality is the only thing that matters.

When should you use it?

Only for assignments that are:

- **Highly Specialized** (requires unique expertise)
- **Innovative** (breaking new ground)
- **Extremely Complex**

Examples:

- Designing a landmark bridge or a major dam.
- Developing a new government policy or strategy.
- Creating a complex national security system.

How does it work?

The process is strictly focused on quality first:

1. **Stage 1: Choose the Best Quality (Technical Evaluation)**
 - The committee evaluates only the technical proposals.
 - They choose the firm with the absolute best technical proposal – the one that scores the highest based on the criteria (experience, methodology, team, etc.).
 - Price is not considered at all at this stage.
2. **Stage 2: Negotiate the Price**
 - The Procuring Agency then opens the financial proposal of only the top-ranked firm.
 - They negotiate the price and the contract terms with this single firm.

Important: The Procuring Agency is not obliged to accept the proposed price if it is unreasonable. The goal is to agree on a fair price for the high-quality work.

In a Nutshell: Use Quality Based Selection when you need the absolute best brains for the job, regardless of cost. You are paying for top-tier expertise and innovation, and you choose the best expert first before discussing their fee. This ensures the success of critical projects.

Rule 69(4): Quality and Cost Based Selection (QCBS) Method.

This is the most common and balanced method for selecting consultants. It considers both the quality of the proposal and the cost, giving a weight to each.

When should you use it?

This method is used for most standard consulting assignments where:

- The project's Terms of Reference (TOR) are clear and well-defined.
- Quality is the most important factor, but cost still matters.

Examples:

- Designing a standard office building.
- Conducting a feasibility study for a new road.
- Hiring a firm for environmental impact assessment.

How does it work? (The Scoring System)

This method uses a transparent scoring system to find the best value.

1. **Set the Weighting:** The bidding documents announce in advance how much weight will be given to quality and to cost.
 - A common weighting is 80% for Technical (Quality) and 20% for Financial (Cost).
 - For example:
 - Technical Score: Weight = 80%
 - Financial Score: Weight = 20%
2. **Score the Proposals:**
 - **Technical Evaluation:** A committee scores the technical proposals out of 100 (e.g., Firm A scores 90/100 on quality).
 - **Financial Evaluation:** The financial proposal is also scored. The lowest price gets the highest financial score (e.g., 100/100). A higher price gets a proportionally lower score.
3. **Calculate the Combined Score:**
 - Firm A's Technical Score: $90/100 * 80\% = 72$
 - Firm A's Financial Score: $85/100 * 20\% = 17$
 - **Firm A's Total Combined Score: $72 + 17 = 89$**
4. **Select the Winner:** The firm with the highest total combined score wins the contract

Another Example

Scenario: Hiring a Consultant for a Feasibility Study

- Total Available Points: 100
- Weighting:
 - **Technical Proposal:** 80% of the total score (80 points max)
 - **Financial Proposal:** 20% of the total score (20 points max)

The Two Bidders

Firm A: The High-Quality, Higher-Cost Expert

- **Technical Score:** 90 out of 100
- **Financial Proposal:** Rs. 1,200,000

Firm B: The Average-Quality, Lower-Cost Option

- **Technical Score:** 70 out of 100
- **Financial Proposal:** Rs. 900,000

Step 1: Calculate the Technical Score (out of 80 points)

This is straightforward. The technical score is multiplied by the weight.

- **Firm A:** 90 (score) * 0.8 (80% weight) = **72 points**
- **Firm B:** 70 (score) * 0.8 (80% weight) = **56 points**

Step 2: Calculate the Financial Score (out of 20 points)

This is trickier. The lowest price gets the maximum 20 points. Others get a proportional score.

The Formula is:

Financial Score = (Lowest Price / Your Price) * 20

- **Lowest Price is:** Firm B's Rs. 900,000
- **Firm B's Financial Score:** (900,000 / 900,000) * 20 = **20.0 points**
- **Firm A's Financial Score:** (900,000 / 1,200,000) * 20 = **15.0 points**

Step 3: Calculate the Total Combined Score

Firm	Technical Score (80%)	+	Financial Score (20%)	=	Total Score (100%)
Firm A	72	+	15.0	=	87.0
Firm B	56	+	20.0	=	76.0

And the Winner is...

Firm A wins with 87.0 points!

Why did Firm A win?

- Even though Firm B was Rs. 300,000 cheaper, Firm A's technical proposal was significantly better.
- The Procuring Agency decided that the superior quality of Firm A (worth 72 points) was more valuable than the cost savings from Firm B (worth only 20 points).

- This calculation proves and quantifies that Firm A offers better overall value ("best bang for the buck") for the Procuring Agency.

The scoring system makes the decision objective and transparent. It ensures that quality is properly valued over just choosing the lowest price, leading to a better outcome for the public.

Why is this method popular?

It strikes a perfect balance. It doesn't just pick the cheapest option (which might be low quality) or the most expensive option (which might be wasteful). It finds the firm that offers the best overall value—a great combination of high quality and a reasonable price.

In a Nutshell: Use QCBS when you want the Optimal cost-benefit ratio. It's a fair, transparent, and mathematical way to choose a consultant who is both highly capable and offers good value for taxpayers' money.

Rule 69(5): Direct Selection Method.

This is the most extreme exception to competitive bidding. It allows the Procuring Agency to hire a consultant directly without any competition.

Because it bypasses competition, its use is highly restricted to only a few very specific situations.

When Can You Use Direct Selection?

Only under one or more of these four strict conditions:

1. Continuation of Previous Work

- **When:** You need to hire the same consultant again for a task that is a direct continuation of their previous assignment.
- **Why:** Changing consultants mid-stream would cause delays, loss of knowledge, and inefficiency.
- **Example:** A firm designed the first phase of a water supply scheme. It makes sense to hire them directly for the second phase to ensure consistency.

2. Very Low Value (Petty Assignments)

- **When:** The assignment is worth less than Rs. 100,000.
- **Why:** The cost and time of running a competitive process would be greater than the value of the assignment itself. It's not practical.

3. Emergency

- **When:** In a genuine emergency (as defined in the rules) where there is no time to go through a competitive process.
- **Example:** After an earthquake, an expert structural engineer is needed immediately to assess the safety of government buildings.

4. Unique Expertise

- **When:** Only one consultant in the market has the specific, unique qualifications or exceptional experience required for the job.
- **Example:** Hiring the world's leading expert on restoring a specific type of ancient manuscript for a national museum. There is simply no one else who can do it.

The Golden Rule of Direct Selection:

This method must be justified and documented. The Department must write down the exact reason why they are using direct selection and which of the four conditions applies. This is for transparency and to prevent abuse.

In a Nutshell: Direct Selection is a last resort. It is a necessary tool for efficiency in very specific cases, but it is not a shortcut for favoritism. Its use is limited to situations where competition is impossible, impractical, or not in the public interest.

Rule 69(6): Fixed Budget .

This method is used when the Procuring Agency has a strict, unchangeable budget for a consulting assignment. The key rule is: "This is all the money we have. Don't propose something that costs more."

When Can You Use It?

You can only use this method if ALL THREE of these conditions are met:

1. **Simple Assignment:** The task is straightforward and not complex.
2. **Precisely Defined:** The Procuring Agency knows exactly what it wants and can describe it perfectly in the Terms of Reference (TOR).
3. **Fixed Budget:** The total amount of money available for the assignment is fixed and cannot be increased.

Example: A government department has a fixed budget of Rs. 1.5 million to conduct a survey in 10 districts. The survey methodology and deliverables are very clear and simple.

How Does It Work?

The process is designed to find the best quality within the rigid budget constraint.

1. **Announce the Budget:** The Request for Proposal (RFP) must clearly state: "The available budget for this assignment is Rs. [X]. Any financial proposal exceeding this amount will be rejected."
2. **Two-Stage Evaluation:**
 - **Stage 1: The Financial Cut.** First, all financial proposals are opened. Any consultant who asked for more than the fixed budget is immediately and automatically rejected. Their technical proposals are not even evaluated.
 - **Stage 2: The Quality Contest.** Only the proposals that are within budget are considered. Among these, the Procuring Agency only evaluates the technical proposals. The winner is the consultant with the highest technical score.

A Simple Example:

- **The Fixed Budget:** Rs. 1,000,000
- **The Bidders:**
 - Firm A: Technical Proposal = 90 points, Financial Proposal = Rs. 1,200,000 → **REJECTED**(Over budget)
 - Firm B: Technical Proposal = 70 points, Financial Proposal = Rs. 950,000 → **QUALIFIES**
 - Firm C: Technical Proposal = 85 points, Financial Proposal = Rs. 900,000 → **QUALIFIES**
- **The Winner:** Among the qualified firms (B and C), Firm C has the higher technical score (85 vs. 70).
Therefore, Firm C wins the contract at their price of Rs. 900,000.

In a Nutshell: The Fixed Budget method is a strict but fair way to find the best quality consultant who can do the job within the Procuring Agency's predetermined financial limit. It prioritizes staying within budget first, and then seeks the best possible quality from those who can work within that constraint.

Rule 69(7): Design Contest :

This is a special method used when the look, creativity, and design of something are the most important factors. It's like an architecture or art competition.

When Can You Use It?

Only when the main goal is aesthetic (related to beauty and appearance).

Examples:

- Designing the exterior of an important government building (e.g., a museum, a cultural center).
- Creating a national monument or a public art installation.
- Designing a city's logo or branding.

How Does It Work?

The process is focused on getting the best creative design first.

1. **Invite Designs:** The Procuring Agency invites consultants (e.g., architects, artists) to submit a design plan based on a general concept or criteria provided.
2. **Submit Proposals:** Consultants submit their technical proposal (their design) and a sealed financial proposal (their price) in separate envelopes.
3. **Judge the Designs:** A committee evaluates only the technical proposals (the designs) and ranks them based on creativity, beauty, and functionality. The financial proposals are kept sealed and are not looked at.
4. **Open the Price of the Winner:** Only the financial proposal of the top-ranked consultant (the one with the best design) is opened.
5. **Negotiate and Award:** The Procuring Agency then negotiates the price and contract with this winning designer. If they cannot agree on a fair price, the Procuring Agency may negotiate with the second-ranked designer.

A Simple Example:

Project: Design a new public library that becomes an architectural landmark.

- **Firm A:** Submits a stunning, innovative design. (Technical Score: 95/100)
- **Firm B:** Submits a good, but conventional design. (Technical Score: 75/100)
- **Firm C:** Submits a poor design. (Technical Score: 50/100)

Process:

1. The committee ranks Firm A as #1 based on their superior design.
2. Only then is Firm A's financial proposal opened. Let's say they quoted Rs. 10 million.
3. The Procuring Agency negotiates with Firm A to finalize the contract at that price or a mutually agreed one.
4. The financial proposals of Firms B and C are returned to them unopened.

In a Nutshell: The Design Contest method ensures that the best design wins, not the cheapest one. It allows creativity to be the sole focus of the competition first, before any discussion of cost. This is how cities get beautiful and iconic buildings.

Rule 69(8): Consultant's Qualifications Selection (CQS).

This is a simplified and fast-track process for hiring consultants for very small assignments. It cuts out many steps of the full tender process to save time and money.

When Can You Use It?

Only for small consultancies where the value of the assignment is so low that running a full competitive process would cost more in time and administrative effort than the assignment itself.

Example: Hiring a consultant to conduct a one-day training workshop for a small group of staff, or to write a short, simple report.

How Does It Work? (The Simplified Process)

Step 1: Ask for "Expressions of Interest" (EOI)

- The Procuring Agency publishes a short document (Request for EOI) asking firms to introduce themselves and show their basic qualifications.

Step 2: Select Based on Credentials Only

- The Procuring Agency reviews the EOIs.
- It selects one seemingly qualified firm based only on their general credentials and experience (e.g., their CV, past work). There is no detailed technical proposal at this stage.

Step 3: Negotiate Directly

- The Procuring Agency then asks only that one selected firm to submit a combined technical and financial proposal (in one envelope) for the specific task.
- The Procuring Agency negotiates the terms and price directly with that firm to finalize the contract.

Key Difference from Other Methods

Normally, you would shortlist several firms, ask them for detailed proposals, and then evaluate them. This method skips all that. It's like:

- **Normal Method:** Interviewing 5 candidates, giving them a test, and then picking one.
- **CQS Method:** Looking at 5 resumes, picking the one with the best-looking resume, and then negotiating the job terms only with that person.

Why is this allowed?

It is a recognition of proportionality. For very small, low-risk assignments, the cost of a complex procurement process is not justified. The goal is efficiency.

In a Nutshell: Use the CQS method for very small, straightforward consulting jobs where the need for speed and low administrative cost outweighs the need for a full competitive selection process. It is the simplest and fastest method available.

Rule 69(9): Selection Process of Individual Consultants. Hiring a Single Expert

This method is used when you need to hire one specific person for their unique brainpower and expertise, not an entire consulting firm.

When Can You Use It?

You can use this method only if the work meets one or more of these conditions:

1. **A One-Person Job:** The task is so small or specialized that it doesn't require a team. Just one expert is needed.
2. **No Backup Needed:** The expert can do the work entirely on their own, without needing support staff, researchers, or junior analysts.
3. **The "Star" Matters:** The specific experience, qualifications, and reputation of the individual are the most important factor.

Examples:

- Hiring a renowned economist to give a keynote speech.
- Hiring a specialist lawyer to provide an opinion on a complex legal matter.
- Hiring a retired engineer for a one-week peer review of a technical design.

How Does It Work? (The Simplified Process)

The process is much simpler than hiring a firm.

1. **Identify Candidates:** The Procuring Agency identifies potential expert candidates through research, referrals, or a public notice.
2. **Evaluate Resumes (CVs):** The main selection is based on reviewing the experts' **Curriculum Vitae (CVs)** to find the most qualified person.
3. **Interview (Optional):** The committee may choose to interview the shortlisted candidates to discuss their approach and fees.
4. **Negotiate and Hire:** The Procuring Agency negotiates the daily rate or total fee directly with the chosen expert and hires them.

Key Simplification: Unlike with firms, the Procuring Agency does not have to ask for formal technical and financial proposals. The selection can be based primarily on the CV and an interview.

In a Nutshell: This method treats the hiring process like recruiting an employee, but for a short-term contract. It is designed for **efficiency and speed** when you need to tap into the knowledge of a **specific, highly qualified individual** for a well-defined task.

Summary of Consultant Selection Methods

Method	Best For	Key Feature	How the Winner is Chosen
1. Least Cost Selection (LCS)	Simple, standard assignments with clear standards.	Cost is the main factor.	Technically qualified bids are ranked from lowest to highest price. The lowest price wins.
2. Quality and Cost Based Selection (QCBS)	Most standard consulting assignments.	Balances quality & cost.	Proposals are scored on technical merit (e.g., 80%) and price (e.g., 20%). The highest combined score wins.
3. Quality Based Selection (QBS)	Highly complex, innovative, or critical assignments.	Quality is the only factor.	The proposal with the highest technical score wins. Price is negotiated only with the top-ranked firm.
4. Direct Selection	Extreme exceptions (continuity, emergency, unique expertise, petty assignments).	No competition.	A single consultant is selected directly without any competitive process, based on strict justification.
5. Fixed Budget	Simple, well-defined tasks with a strict, unchangeable budget.	Budget is fixed and non-negotiable.	All bids over the budget are rejected. The best technical proposal within the budget wins.

Method	Best For	Key Feature	How the Winner is Chosen
6. Design Contest	Projects where aesthetic design and creativity are the top priority.	Best design wins.	Designs are evaluated on creativity. Only the financial proposal of the top-ranked designer is opened.
7. Consultants' Qualifications Selection (CQS)	Very small, low-value assignments.	Fastest, simplest method.	A firm is selected based on its general credentials (CV/past experience). Terms are then negotiated directly.
8. Individual Consultants	Hiring a single expert, not a firm.	The individual's brain is the product.	An expert is chosen based on their CV and an interview. A formal proposal is often not required.

This table provides a quick overview to help decide which method is most appropriate for a given procurement need. The choice depends on the complexity of the assignment, the importance of quality vs. cost, and the specific circumstances.

Rule 70: Request for Expression of Interest (EOI).

The "Are You Interested?" Notice

A Request for Expression of Interest (EOI) is not the final tender. It is an initial notice to gauge interest and identify potential consultants before starting the full selection process. Think of it as the Procuring Agency asking, "Hey, any qualified firms out there interested in this kind of work?"

Key Requirements for an EOI:

1. How to Advertise:

It must be advertised publicly, following the same rules as a full tender (Rules 15 & 16):

- On the BPPRA website.
- In national newspapers (for high-value projects).
- On the procuring agency's own website (if it has one).

2. What Must Be in the EOI Document:

The EOI must provide enough information for a firm to decide if they are interested and qualified. It must include:

- (a) Who You Are:** The name and address of the government department.
- (b) What You Need:** A clear description of the project and the type of professional services required (e.g., "feasibility study for a new hospital").
- (c) The Deadline:** The last date and place for submitting the EOI response.
- (d) How You'll Shortlist:** The criteria that will be used to create the shortlist (e.g., years of experience, similar projects completed, key staff qualifications). This is crucial for transparency.
- (e) Other Useful Info:** Any other information that helps firms understand the opportunity.

What Happens After the EOI?

1. Interested consulting firms submit their documents, showcasing their credentials and experience.
2. The Procuring Agency evaluates these responses only against the published shortlisting criteria.
3. A shortlist of the most qualified firms is created.
4. Only the shortlisted firms are then invited to participate in the next stage: receiving the Request for Proposal (RFP) and submitting a detailed technical and financial bid.

In a Nutshell: The EOI is a filtering and market-testing tool. It ensures that the subsequent, more costly detailed bidding process is only spent on serious and qualified contenders, making the entire procurement process more efficient for both the Procuring Agency and the consulting firms.

Rule 71: Criteria for Short-listing of Consultants. Creating the "Qualified Applicants" List

This rule is about the fair and transparent process of creating a shortlist from all the firms that expressed interest. It's about separating the most qualified candidates from the rest.

The Golden Rule of Short-listing:

The Procuring Agency must use the exact criteria it already published in the Request for Expression of Interest (EOI). It cannot make up new rules or change the criteria after seeing who applied.

What Factors are Used to Shortlist?

The rule highlights the key factors that must be considered when evaluating which firms make the shortlist:

Factor	What It Means	What the Procuring Agency Looks For
1. Qualification	The academic and professional credentials of the firm and its key staff.	Do they have the right degrees? Are their key people certified professionals (e.g., licensed engineers, chartered accountants)?

Factor	What It Means	What the Procuring Agency Looks For
2. Experience	A proven track record of doing similar work successfully.	Have they completed similar projects before? For whom? How many? How recently?
3. Financial Capability	The financial strength to undertake the assignment without going bankrupt.	Are they financially stable? Can they handle the cash flow of this project?
4. Other Relevant Factors	Any other objective criteria specific to the project.	This could include specific technical skills, access to special equipment, or local knowledge.

Example: Shortlisting for a Dam Design Project

The Expression Of Interest stated the shortlisting criteria would be:

1. **Experience:** At least 3 similar dam design projects completed in the last 10 years.
2. **Qualifications:** Lead engineer must be a registered structural engineer.
3. **Financial Capability:** Minimum average annual turnover of Rs. 50 million.

The Process:

- **Firm A:** Shows 5 dam projects, lead engineer is registered, turnover is Rs. 100 million. → **SHORTLISTED**
- **Firm B:** Shows 1 dam project 15 years ago, lead engineer is not registered, turnover is Rs. 10 million. → **REJECTED**
- **Firm C:** Shows 4 dam projects, lead engineer is registered, turnover is Rs. 60 million. → **SHORTLISTED**

In a Nutshell: This rule ensures the shortlisting process is objective, fair, and predictable. Firms are judged solely on their ability to do the job, based on criteria they knew in advance. This prevents favoritism and ensures only capable firms move to the next, more detailed stage of bidding.

Rule 72: Request for Proposals (RFP).

The "Final Exam" for Consultants

The **Request for Proposal (RFP)** is the one of the most important document in the consulting selection process. It is the detailed "exam paper" sent to the shortlisted firms, asking them to submit their final, detailed plans and prices.

What is Inside the RFP Package? (The Checklist)

The RFP must include everything a consultant needs to prepare a complete offer:

Document		What It Is	Why It's Important
1.Letter of Invitation	of	A formal cover letter inviting the shortlisted firms to bid.	Officially starts the final bidding stage.
2.Instructions to Consultants		A guide on how to prepare and submit the bid correctly.	Ensures all bids are comparable and avoids mistakes that could get a bid rejected.
3.Terms Reference (TOR)	of	The most critical part. A detailed description of the work: the goals, scope, tasks, and exact deliverables required.	Tells the consultant exactly what they need to do. A clear TOR leads to good proposals.
4.Draft Contract		The full legal contract the winner will sign. Includes all terms and conditions.	Allows firms to understand their risks and obligations before bidding.
5.Evaluation Criteria		The exact method and scores (e.g., 80% technical, 20% financial) that will be used to select the winner.	Makes the process transparent; firms know how they will be judged.
6.Type of Contract	of	Defines how the consultant will be paid.	Helps firms price their offer correctly.

How Do Consultants Submit Their Bids?

- **Two Envelopes:** Consultants must submit their proposal in two separate sealed envelopes:
 1. **Technical Proposal:** Their detailed plan, methodology, and team CVs (NO PRICE inside).
 2. **Financial Proposal:** Their detailed price quote (NO TECHNICAL info inside).
- This ensures the technical evaluation is done without being influenced by the price.

What is the Deadline?

The Procuring Agency must give consultants enough time to prepare a quality proposal:

- **For National Bidders:** At least 15 days.
- **For International Bidders:** At least 45 days.

In a Nutshell: The RFP is the complete rulebook for the final competition. It ensures all shortlisted consultants are on a level playing field by giving them the same information, the same rules, and the same deadline to prepare their best possible offer. This transparency is key to a fair and successful procurement.

Rule 73: Criteria for Evaluation of Quality of Consulting Services.

How to Grade the "Technical Exam"

This rule provides the report card—the specific criteria the Procuring Agency must use to evaluate and score the technical proposals from consultants. It's about judging the quality of their ideas and capabilities.

The 6 Key Grading Criteria:

When evaluating technical proposals, the committee must score them based on these factors:

Criteria	What It Means	What the Evaluators Look For
1. Specialization	Does the firm have the specific, niche skills needed for this exact job?	Unique expertise, access to special software or technology, specific certifications.
2. Experience	Has the firm successfully done this exact type of work before?	Number of similar projects, past client references, experience working in a similar environment (e.g., in Balochistan).
3. Financial Capability	Is the firm financially stable enough to complete the job without going bankrupt?	Financial statements, turnover, to ensure they won't abandon the project midway.
4. Understanding of the Assignment	Did the firm truly understand what we need, or did they just copy a generic proposal?	Their proposal directly addresses the Terms of Reference (TOR), shows insight into the local context, and identifies key challenges.
5. Proposed Methodology	This is often the most important. Is their proposed approach logical, efficient, and innovative?	A clear, step-by-step work plan. Creative solutions to potential problems. A realistic timeline.
6. Quality Management	For large projects: Does the firm have a system to ensure their work will be high quality and error-free?	ISO certifications, internal review processes, quality assurance plans.

Example: Evaluating a Road Design Proposal

- **Specialization:** Do they have highway engineers? Do they use modern design software? **(Score: 9/10)**
- **Experience:** Have they designed mountain roads in Balochistan before? **(Score: 8/10)**
- **Understanding:** Does their proposal show they've studied the specific terrain and traffic issues? **(Score: 10/10)**
- **Methodology:** Is their design process thorough? Do they plan for geotechnical surveys? **(Score: 9/10)**
- **TOTAL TECHNICAL SCORE: 36/40** (if each criterion is out of 10)

In a Nutshell: This rule ensures that the evaluation of technical proposals is objective and thorough. It moves beyond just checking boxes on experience and forces a deep evaluation of how the consultant will deliver results, ensuring the Procuring Agency hires a firm that is not just qualified, but is the best fit for the specific assignment.

Rule 74: Association between Consultants.

Teamwork Rules for Consultants.

This rule explains how consulting firms are allowed to team up to bid for a project. It defines two official ways they can work together.

The Two Types of Allowed Team-Ups:

1. Consortium (A Partnership of Equals)

- **What it is:** Two or more independent firms join together as a single, united team to bid for and execute a contract.
- **How it works:** They appoint one firm as the "Lead Consultant." This lead firm is the single point of contact and is fully responsible to the Procuring Agency for the entire project.
- **Analogy:** It's like forming a band for a concert. Different musicians (firms) come together, but there is one band manager (lead consultant) who deals with the venue (Procuring Agency) and is responsible for the whole performance.
- **Key Point:** The Procuring Agency signs the contract with the consortium as a single entity. If any part of the work fails, the Procuring Agency holds the lead consultant responsible, who then must resolve issues with their partners.

2. Sub-Consultancy (Hiring a Specialist)

- **What it is:** A winning consultant (the "Main Consultant") hires another specialized firm (a "Sub-Consultant") to do a specific part of the job.
- **How it works:** This must be clearly stated and approved by the Procuring Agency in the main contract. The main consultant is like a general contractor.
- **Analogy:** You hire a main contractor to build your house. They then hire a specialized electrician (sub-consultant) to do the wiring. You hired the contractor, so you talk to them if the wiring is faulty.
- **Key Point:** The Main Consultant bears 100% of the responsibility for the sub-consultant's work. The Procuring Agency only has a contract with the main consultant.

Why Are These Rules Important?

- **Clarity and Responsibility:** They ensure there is always one single, responsible party (the lead or main consultant) that the Procuring Agency can hold accountable for the entire project. This avoids confusion and finger-pointing.
- **Quality Control:** The main consultant has a strong incentive to ensure their partners or sub-consultants do good work, as they are ultimately responsible.
- **Flexibility:** It allows firms to combine their strengths. A large local firm can partner with a small international expert to create a powerful team that can win a complex project.

In a Nutshell: This rule allows consultants to form dream teams to tackle big projects, but it ensures the Departments always have one neck to choke if something goes wrong. It promotes collaboration without sacrificing accountability.

Rule 75: Intellectual Property Rights.

Who Owns the Ideas?

This rule is about ownership. When the Procuring Agency pays a consultant to create something, who owns the final product? The answer is simple: Procuring Agency does.

The Golden Rule:

Everything the consultant creates for the project—every report, drawing, design, software code, and piece of research—is the property of the government (the Procuring Agency).

The consultant cannot claim, "I designed this bridge, so the design is mine." The government department paid for it, so the government owns it.

What does this include?

- Final Reports
- Building Designs & Blueprints
- Software Code
- Research Data
- Survey Results
- Training Materials
- All other "deliverables"

What about the Consultant?

The consultant is usually restricted from using these materials for anyone else unless the contract specifically allows it.

- For example, the contract might let the consultant use a generic software tool they developed, but not the specific custom reports written for the government.
- These restrictions must be clearly written in the contract so there is no confusion later.

Why is this rule so important?

1. **Protects Public Investment:** The department owns what it pays for. It can use the designs to build the project, modify them, or hire a different consultant in the future without needing permission from the original consultant.
2. **Prevents Conflicts:** It stops a consultant from selling the department's own designs back to them or to a competitor.
3. **Ensures Continuity:** If the original consultant is no longer available, the department still has full access and rights to all the project information.

In a Nutshell: This rule ensures that when the Procuring Agency buys consulting services, it is buying the final product outright, not just renting it. The consultant is paid for their time and expertise, but the ideas and work they produce belong to the public.

Rule 76: Extent of Contract Negotiation. The "Final Tweaks" Rule

This rule defines what can and cannot be negotiated with the top-ranked consultant after they have been selected but before the contract is signed. It's about making final adjustments, not changing the core offer.

What CAN Be Negotiated?

The Procuring Agency can discuss and finalize details with the winning bidder on:

- **Methodology:** Fine-tuning the approach to the work.
- **Work Plan:** Adjusting the timeline and milestones.
- **Staffing:** Confirming the roles of the proposed team members.
- **Special Conditions:** Clarifying specific terms in the draft contract.

What cannot be negotiated? (The Strict Rules)

1. No Change to Key Staff

- **The Rule:** The experts named in the proposal (especially the team leader) cannot be replaced.
- **The Exception:** Only if both parties agree that a change is absolutely necessary due to an unavoidable delay (e.g., the proposed expert suddenly resigns or falls seriously ill).
- **Why?** The Procuring Agency selected the firm based on the specific experts promised. Swapping them out is like bait-and-switch.

2. No Change to Prices

- **The Rule:** The financial offer (the quoted rates and total price) cannot be negotiated.
- **Why?** It would be unfair to other bidders. The winner could lowball their bid to win and then try to negotiate a higher price afterwards.

What Happens if Negotiations Fail?

If an agreement cannot be reached on the negotiable points (e.g., the firm refuses to agree to a necessary contract term), the Procuring Agency must walk away.

The Procuring Agency can then invite the second-ranked bidder to negotiate and, if successful, award them the contract.

In a Nutshell: This rule allows for practical final discussions but protects the integrity of the competitive process. It prevents the winner from changing the key reasons they were selected in the first place: their key people and their price.

Rule 77: Professional Liability of Consultants. "You Break It, You Fix It"

This rule makes consultants legally and financially responsible for their mistakes, negligence, or misconduct. It protects the Procuring Agency from bearing the cost of a consultant's errors.

The Key Points:

1. Financial Responsibility for Mistakes

- The consultant is liable (legally responsible) for any losses or damages caused by their errors, omissions, or wrongful actions.

- **Example:** If an engineering consultant's flawed design causes a wall to collapse, they are responsible for the cost of fixing it.

2. The Liability Cap (The "Minimum" and "Maximum")

- The contract must specify a financial limit for this liability.
- **Minimum Liability:** The consultant's liability cannot be less than the total fee they are being paid for their services (excluding reimbursable expenses).
- **Maximum Liability:** Their liability cannot be more than **twice** the amount of their fee.
- **Why a Cap?** This provides a reasonable balance. It holds the consultant accountable but also allows them to calculate their financial risk and purchase insurance accordingly.

3. Insurance

- The Procuring Agency can require the consultant to get professional liability insurance to cover these potential costs.
- The consultant must pay for this insurance themselves.

4. Misconduct

- The consultant is fully liable for **all losses** caused by any **misconduct** (unethical or unprofessional behavior). This may not be limited by the liability cap.

Simple Example:

A consultant is paid a fee of Rs. 1 million for a project.

- Their liability for a error they make will be somewhere between Rs. 1 million (their fee) and Rs. 2 million (twice their fee), as stated in the contract.
- If their mistake causes Rs. 500,000 in damages, they must pay for it.
- If their mistake causes Rs. 3 million in damages, their maximum liability is capped at Rs. 2 million. The Department would have to cover the extra Rs. 1 million (highlighting the importance of the cap for the consultant).

In a Nutshell: This rule ensures that consultants are accountable for their work. They cannot just collect their fee and walk away from problems they created. It incentivizes high-quality, careful work and provides a mechanism for the Procuring Agency to recover costs if things go wrong due to the consultant's failure.

Rule 78: Performance Security. The Consultant's "Good Faith" Guarantee

This rule is similar to the one for goods and works. It requires a consulting firm to provide a Performance Security to protect the Procuring Agency if the consultant fails to deliver on their promises.

What is Performance Security?

It is a financial guarantee, like a security deposit, that the consultant must provide after winning the contract but before it is signed.

Its Purpose: To protect the Procuring Agency from losses if the consultant:

Fails to deliver the report or service.

Does a very poor quality job.

Abandons the project.

Otherwise breaches the contract.

Key Requirements:

1. How Much?

The amount must be no more than 10% of the total contract value.

Example: For a Rs. 10 million contract, the security can be up to Rs. 1 million.

2. In What Form?

It must be provided as a:

Bank Guarantee (most common)

Pay Order or Demand Draft

Insurance Bond from a highly-rated (AA) company

3. How Long?

The guarantee must remain valid for at least 90 days after the contract completion date.

Why? To cover the "defects liability period" – a time after delivery when the Procuring Agency can identify any errors or shortcomings in the consultant's work and ask them to fix it.

4. Exception for Individuals

This security is not required when hiring an individual consultant (a single person, not a firm).

This is because it is often impractical for an individual to obtain such a guarantee.

What Happens if All Goes Well?

Once the consultant successfully completes all their obligations and any defect liability period ends, the Performance Security is returned to them in full.

In a Nutshell: This rule ensures that the consultant has something to lose if they don't do the job properly. It provides a strong financial incentive for them to fulfill their contract properly and gives the Procuring Agency a fund to draw from to complete the work or fix problems if the consultant fails to perform.

PART-IV

GENERAL PROVISIONS

Rule 79: Integrity Pact.

"No-Bribery" Contract

An Integrity Pact is a powerful anti-corruption tool. It is a formal contract signed between the Procuring Agency and all bidders before the bidding process even begins.

What is its purpose?

To prevent corruption by creating clear rules and serious consequences for anyone who tries to bribe officials or cheat the process.

When is it required?

It is mandatory for:

Goods and Works contracts valued over Rs. 10 million.

Services and Consultancy contracts valued over Rs. 2.5 million.

What does the Pact do?

By signing the Integrity Pact, both parties promise:

The Bidders Promise:

No Bribes: They will not offer any bribes or gifts to government officials to win the contract.

No Collusion: They will not conspire with competitors to fix prices or rig the bidding.

Full Disclosure: They will disclose all commissions and fees paid to middlemen.

The Government Officials Promise:

Fair Treatment: They will treat all bidders fairly and impartially.

Confidentiality: They will not leak secret bid information.

No Favors: They will not demand or accept any bribes.

What happens if someone breaks the pact?

The consequences are severe:

For the **Bidder**: They will be blacklisted and banned from all future government contracts for several years. Their bid security can be forfeited.

For the **Government Official**: They will face strict disciplinary action and potential criminal charges.

In a Nutshell: The Integrity Pact is a pledge of honesty from everyone involved. It acts as a strong deterrent against corruption by making the costs of cheating extremely high. It helps ensure that contracts are awarded based on merit and price, not on bribes and connections.

Rule 80: Post Procurement Reviews: The "Report Card" and "Spot Check"

This rule is about learning from experience and ensuring ongoing compliance. It gives BPPRA the power to act as an auditor to check the work of government departments after they have finished a procurement.

How Does the Review Work?

BPPRA conducts two types of checks:

Targeted Audit of Big Projects: BPPRA will select the top 10 most expensive procurements from across all government departments/agencies and conduct a detailed review of each one.

Random Spot Check: BPPRA will also randomly select 10 regular procurements (big and small) and audit them. This keeps all departments on their toes.

What is BPPRA Looking For?

They will examine the entire procurement record to see if the department:

Followed all the rules correctly.

Achieved value for money.

Kept proper documentation.

Conducted the process fairly and transparently.

What Happens After the Review?

BPPRA provides the department with a report of its findings. This report is not meant to just punish; its main goal is to help the department improve.

The report will:

Point out mistakes that were made.

Identify weaknesses in the department's processes.

Recommend improvements to prevent the same errors in the future.

In a Nutshell: This rule turns BPPRA into a quality assurance coach. By reviewing completed work, BPPRA can help government departments learn from their mistakes, share best practices, and continuously improve the public procurement system for everyone. It ensures that the rules are not just written on paper but are actually followed in practice.

Rule 81: Overriding Effect. - The Supreme Rule

This is one of the most important rules in the entire book. It establishes the legal authority of the BPPRA Rules.

What Does It Mean?

It means that the BPPRA Rules are the highest law for public procurement in Balochistan.

If any other government rule, regulation, manual, or order conflicts with or contradicts the BPPRA Rules, the **BPPRA Rules win**.

Why Is This Necessary?

Different government departments might have their own old manuals or practices. This rule ensures there is one single, standard set of rules that everyone must follow, creating uniformity and preventing confusion.

Simple Example:

An old manual in the Health Department says: "For simple purchases, only one quote is needed."

But **BPPRA Rule 51** says: "For simple purchases, you must get quotes from at least three suppliers if possible."

- **Which rule must they follow?** The BPPRA Rule. It has the overriding effect.

In a Nutshell: This rule is the foundation that gives the BPPRA Rules their power. It ensures consistency, fairness, and transparency across the entire government by making these rules the ultimate standard that cannot be bypassed by any other internal directive.

THE END